

WHARTON CONSULTING CLUB CASEBOOK

December 2010, © Wharton Consulting Club

Contents

2

Section

Page

□ Introduction	3
□ Consulting Industry Guide	6
□ Industry Overview	
□ Firm Overviews (10 Firms)	
□ Interview Preparation	18
□ Interview Overview – Fit + Case	
□ Sample Frameworks	
□ Industry Snapshots	
□ Practice Cases	50
□ 14 Practice Cases	
□ Links to Other Cases	126
□ Cases from Firm Websites	
□ Suggested Cases from other Casebooks	

Note to the reader

Dear Consulting Club Member,

This casebook is meant to provide you with a brief overview of consulting recruiting and interview preparation as well as a number of practice cases. Please note that this is meant to supplement the excellent work done by our and other schools in earlier casebooks, so we strongly encourage you to not make this your sole reference. We have indicated which other casebooks we found particularly useful at different points in this casebook.

Good luck!

- 2009 Wharton Consulting Casebook Editorial Team

BIG PICTURE: CONSULTING RECRUITING INVOLVES LOTS OF LITTLE THINGS... THERE IS NO SILVER BULLET

4

Gather Info, Network & Decide

Your objective

- Is consulting what you want to do?
- Which firm do you want to join?
- Why do you want to join a certain firm?
- Connect the dots (pre-MBA to MBA to consulting)

What resources you will need to use

- MBACM industry chats
- Firm websites / Vault / WetFeet
- Coffee chats
- EISes
- Second Years / First Years from firms
- Speakers on campus

Apply

- Get invited to interview (prepare good resume and cover letter)

- MBACM resume review
- Resumania
- Second Years (at least 2 reviews)

Interview: Fit

- Demonstrate 'fit'
 - Leadership
 - Team-player
 - Well-rounded personality

- Prep 'Fit' questions thoroughly
- MBACM mock interviews
- Interviews with Second Years
- Read WSJ, Economist... something

Interview: Cases

- Ace Cases

- Case books & Industry Primer Series!
- Core courses
- Practice extensively with First Years
- MBACM mock interviews
- Interviews with Second Years
- Reach out to consulting firm buddies

Contents

5

Section	Page #
□ Introduction	3
□ Consulting Industry Guide	6
□ Industry Overview	
□ Firm Overviews (10 Firms)	
□ Interview Preparation	18
□ Interview Overview – Fit + Case	
□ Sample Frameworks	
□ Industry Snapshots	
□ Practice Cases	50
□ 14 Practice Cases	
□ Links to Other Cases	126
□ Cases from Firm Websites	
□ Suggested Cases from other Casebooks	

Industry overview – Management Consulting

6

Management consulting involves solving complex business problems and offering recommendations to companies

Overview of management consulting

- Problem-solve complex and unstructured business problems
- Work closely with senior management on the client side
- Intellectually stimulating work and ability to build a strong set of skills
- Constant travel (depending on office location and consulting firm) can pose significant challenges
- Industry (prior to economic downturn) was expected to grow at 8.8% in 2009
- Most firms have a global presence and offer international project opportunities

Interview Process

- Case interview – involves solving a business case; candidate expected to drive towards a solution and ask for relevant data; focus on structure;
- Fit interview – numerous behavioral questions focusing on prior experiences

Typical Career Path

- Consultant/Associate
- Senior Consultant/Associate
- Manager/Project Leader
- Associate Partner
- Partner

Industry overview – Accenture

7

Accenture is a leading global management consulting firm which is known for offering comprehensive solutions, including technology services, to its clients.

Accenture Overview

- 2000 consultants
- Global brand recognition due to solutions outside management consulting
- 3 broad services areas (management consulting, systems integration consulting and technology consulting)
- Regional staffing model
- Comprehensive solutions, beyond strategy, offered to clients

Interview Format

- 2 rounds of interviews
- Round 1: 2 45-minute interviews
- Round 2: 3 45-minute interviews

Career progression

- Consultant
- Manager
- Partner

Industry overview – A.T. Kearney

8

A.T. Kearney is a leading global management consulting firm which is known for the implementation focus of its projects/results.

A.T. Kearney Overview

- 1700 consultants
- 51 offices worldwide
- 34 countries
- 12 industry groups
- 7 broad services areas
- Global staffing model
- Partners actively involved in cases
- Recently went private when company was bought back from EDS

Interview Format

- 2 rounds of interviews
- Round 1: 2 45-minute interviews
- Round 2: Regular case + fit interviews
Case presentation (60 minute prep, 20 minute presentation & 10 minutes for Q&A)

Career progression

- Associate
- Manager
- Principal
- Partner (Vice-President)

Industry overview – Bain & Co.

9

Bain is a global management consulting firm. It is considered one of the top firms in this industry and is known for its focus on delivering results and office-centric work model.

Bain Overview

- 3100 consultants
- 39 offices worldwide
- 26 countries
- Office-specific staffing model
- 14 industry groups
- 11 functional practice areas
- Office-centric work model
- Culture considered to be collegial

Interview Format

- 2 rounds of interviews
- Round 1: 2 40-minute interviews
- Round 2: 3 40-minute interviews (2 case + 1 fit)
- Office-specific interviews
- “Answer-first” approach

Career progression

- Consultant
- Case Team Leader
- Manager
- Partner

Industry overview – Booz & Co.

10

Booz is a global management consulting firm. It is considered one of the top firms in this industry and was recently bought out from Booz Allen Hamilton, which is govt. focused.

Booz Overview

- 3300 consultants
- 57 offices worldwide
- 30 countries
- Regional staffing model
- 16 industry groups
- 8 functional practice areas

Interview Format

- 2 rounds of interviews
- Rounds 1 & 2: 2 45-minute interviews

Career progression

- Consultant
- Manager
- Partner

Industry overview – Boston Consulting Group

11

BCG is a global management consulting firm. It is considered one of the top firms in this industry and is known for its intellectual approach and diverse workforce.

BCG Overview

- 4500 consultants
- 66 offices worldwide
- 40 countries
- Regional staffing model
- 15 industry groups
- 14 functional practice areas
- People considered to be friendly

Typical Interview Format

- 2 rounds of interviews
- Round 1: 2 45-minute interviews (cases)
- Round 2: 3 45-minute interviews (cases)
- General 1st round and office-specific 2nd round interviews

Career progression

- Consultant
- Project Leader
- Principal
- Partner

Industry overview – Deloitte

12

Deloitte is a leading global management consulting firm which is known for offering comprehensive solutions, including technology and tax services, to its clients.

Deloitte Overview

- Global brand recognition due to solutions outside management consulting
- 18 industry groups
- 5 broad services areas (enterprise, human capital, outsourcing, strategy & operations and technology integration)
- 7 functional areas within strategy & operations
- Regional staffing model
- Comprehensive solutions, beyond strategy and operations, offered to clients

Interview Format

- 2 rounds of interviews
- Round 1: 2 30-minute interviews
- Round 2: 1 60-minute interview with 2 partners

Career progression

- Senior Consultant
- Manager
- Senior Manager
- Partner

Industry overview – L.E.K. Consulting

13

L.E.K. is a global management consulting firm. It is considered one of the top small firms in this industry and is known for its analytical rigor.

L.E.K. Overview

- 900 consultants
- 20 offices worldwide
- Strong presence outside US
- 19 industry groups
- 6 functional practice areas
- Known for its analytical rigor
- Cases usually shorter (6 to 8 weeks)
- Provides immediate managerial responsibilities to its MBA hires
- Partners actively involved in cases

Interview Format

- 2 rounds of interviews
- Round 1: 2 30-minute interviews (little fit, some cases were brainstorming type questions)
- Round 2: 3 30-minute interviews
- Potential case on NPV analysis

Career progression

- Associate Consultant
- Consultant
- Manager
- Partner

Industry overview – McKinsey & Co.

14

McKinsey & Co. is a global management consulting firm. It is considered one of the top firms in this industry and is known for developing leaders and strong culture.

McKinsey Overview

- 8500 consultants
- 92 offices worldwide
- 52 countries
- National/global staffing model
- 18 industry groups
- 7 functional practice areas

Interview Format

- 2 or 3 rounds of interviews
- Command and Control case interviews
- Office-specific interviews in all rounds (though Northeast offices piloted common initiative)
- Fit interviews focus on structure, specific actions and headlines for stories

Career progression

- Associate
- Engagement Manager
- Associate Principal
- Partner
- Director

Industry overview – Monitor Group

15

Monitor is a leading global management consulting firm which is known for its thought leadership and focus on knowledge transfer to its clients.

Monitor Overview

- 1500 consultants
- 30 offices worldwide
- 18 countries
- 15 industry groups
- 3 broad services areas (advisory, capital-building & capital)
- Global staffing model
- Founded in 1983 by the likes of Michael Porter

Interview Format

- 2 rounds of interviews
- Round 1: 2 interviews (case + fit)
- Round 2: Group business case exercise
Role play interview
Feedback interview

Career progression

- Case Team Member
- Module Leader
- Case Team Leader
- Global Account Manager

Industry overview – Oliver Wyman

16

Oliver Wyman is a global management consulting firm. It is considered one of the top firms in this industry with a significant presence outside the US.

Oliver Wyman Overview

- 2900 consultants
- 40 offices worldwide
- 16 countries
- 9 industry groups
- 7 functional practice areas
- Global staffing model
- Formed from a combination of Mercer Oliver Wyman & Mercer Consulting

Interview Format

- 2 or 3 rounds of interviews
- Round 1: 2 30-60 minute with case and fit
- Round 2: 1 Fit interview with two case + fit interviews

Career progression

- Junior Consultant
- Senior Consultant
- Junior Manager
- Senior Manager
- Partner

Contents

17

Section	Page #
□ Introduction	3
□ Consulting Industry Guide	6
□ Industry Overview	
□ Firm Overviews (10 Firms)	
□ Interview Preparation	18
□ Interview Overview – Fit + Case	
□ Sample Frameworks	
□ Industry Snapshots	
□ Practice Cases	50
□ 14 Practice Cases	
□ Links to Other Cases	126
□ Cases from Firm Websites	
□ Suggested Cases from other Casebooks	

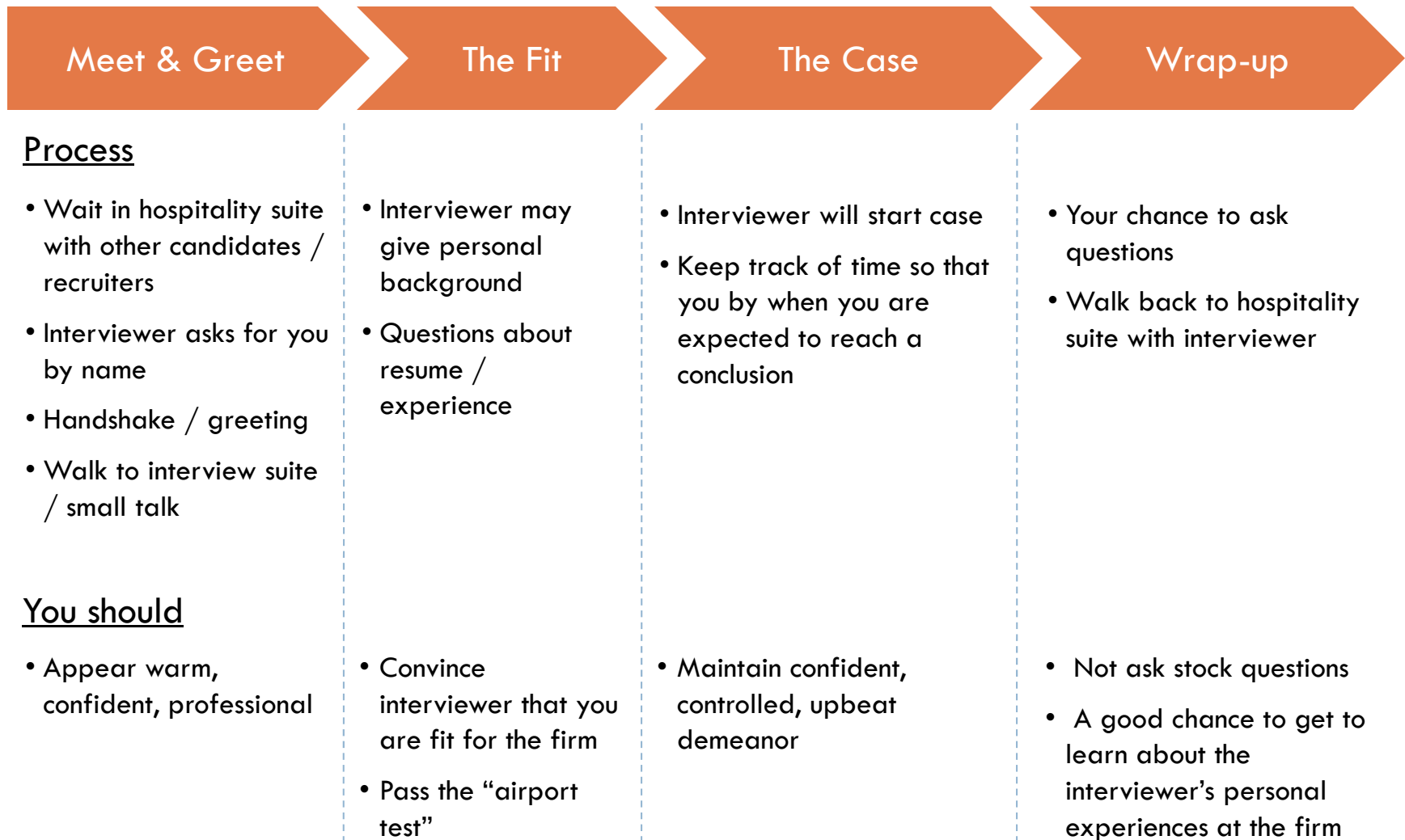
Contents: Interview preparation

18

- A typical consulting interview
- General tips
- Fit interview preparation with sample questions
- Case interview preparation
 - ▣ What is a case? Case types and interview methods
 - ▣ Problem solving – what is it?
 - ▣ Overall flow of a case
 - ▣ Tips to stand out
 - ▣ Sample Frameworks
 - ▣ Common Industry Snapshots
- Tips for giving cases
- Other resources
- Industry snapshots

A typical consulting interview

19



General tips

20

- Make a great first impression
 - ▣ Professional appearance
 - ▣ Preparation
- Have needed supplies
 - ▣ Plenty of pens/pencils
 - ▣ Graph/plain paper
 - ▣ Serviceable portfolio
- Project confidence from start to finish
 - ▣ Relax (hard to appear confident if not)
 - ▣ Be yourself (extremely hard to be confident if not)

What is “fit”?

21

- Opportunity to project “consultant” during the interview
 - ▣ Inquisitive, logical, confident, friendly, driven, happy
- When you describe yourself:
 - ▣ Focus on a set of skills that the company wants
 - Communication
 - Leadership/Management
 - Work under pressure / ability to deal with conflict and ambiguity
- When you describe your fit:
 - ▣ Don't repeat slogans; most firms do the same things
 - ▣ Focus on what the firms consider to be their *unique* factors (e.g. McKinsey's international reach, BCG's thought leadership, Bain's office culture etc..)
- For in-depth probing on leadership questions (typical of McKinsey)
 - ▣ Prepare a 5-10 word 'newspaper headline' that encapsulates the story
 - ▣ Prepare beforehand a 1-2 minute description that quickly lays out the context, the actors and the complication
 - ▣ Focus on your actions and thought process and the impact of your actions that led to the solution / eventual success

Tips on the Fit Interview

22

- Almost every single interview involves at least some fit-interview type questions
- Applicants have been turned down from the top consulting firms for not having cleared the fit portions of interviews
- Very basic steps go a long way
 - ▣ Smile
 - ▣ Maintain eye contact
 - ▣ Be honest and heartfelt
 - ▣ Have a succinct story
- Practice can make perfect
 - ▣ InterviewStream
 - ▣ Mock fit interviews

Tips on the Fit Interview (cont.)

23

□ Do

- ▣ Establish common ground (geography, family, interests, sports, etc..)
- ▣ Ask the interviewer friendly questions
- ▣ Be confident in your answers
- ▣ Talk about something other than your qualifications (you're interesting, so talk about it)

□ Don't

- ▣ Discuss something controversial
- ▣ Complain about *anything*
- ▣ Make up elaborate questions you know the answer to
- ▣ Repeat company slogans, mottos, tag-lines, etc..
- ▣ Focus only on your business qualifications and experience

Sample fit questions

24

- ❑ Take me through your resume
- ❑ Tell me about a time when you exhibited leadership
- ❑ Tell me about a time when you had to solve a problem
- ❑ Tell me about a time when you failed
- ❑ Tell me about a time you had impact
- ❑ What kind of leader are you?
- ❑ Why Firm X?
- ❑ Why City Y?
- ❑ Why consulting?
- ❑ What is your greatest accomplishment?
- ❑ What would you say your biggest weakness is?
- ❑ What are your long-term goals?
- ❑ How do you like school?
- ❑ What is your favorite class at school?
- ❑ What did you do last summer?
- ❑ What do you do for fun?

Case types and case interview methods

25

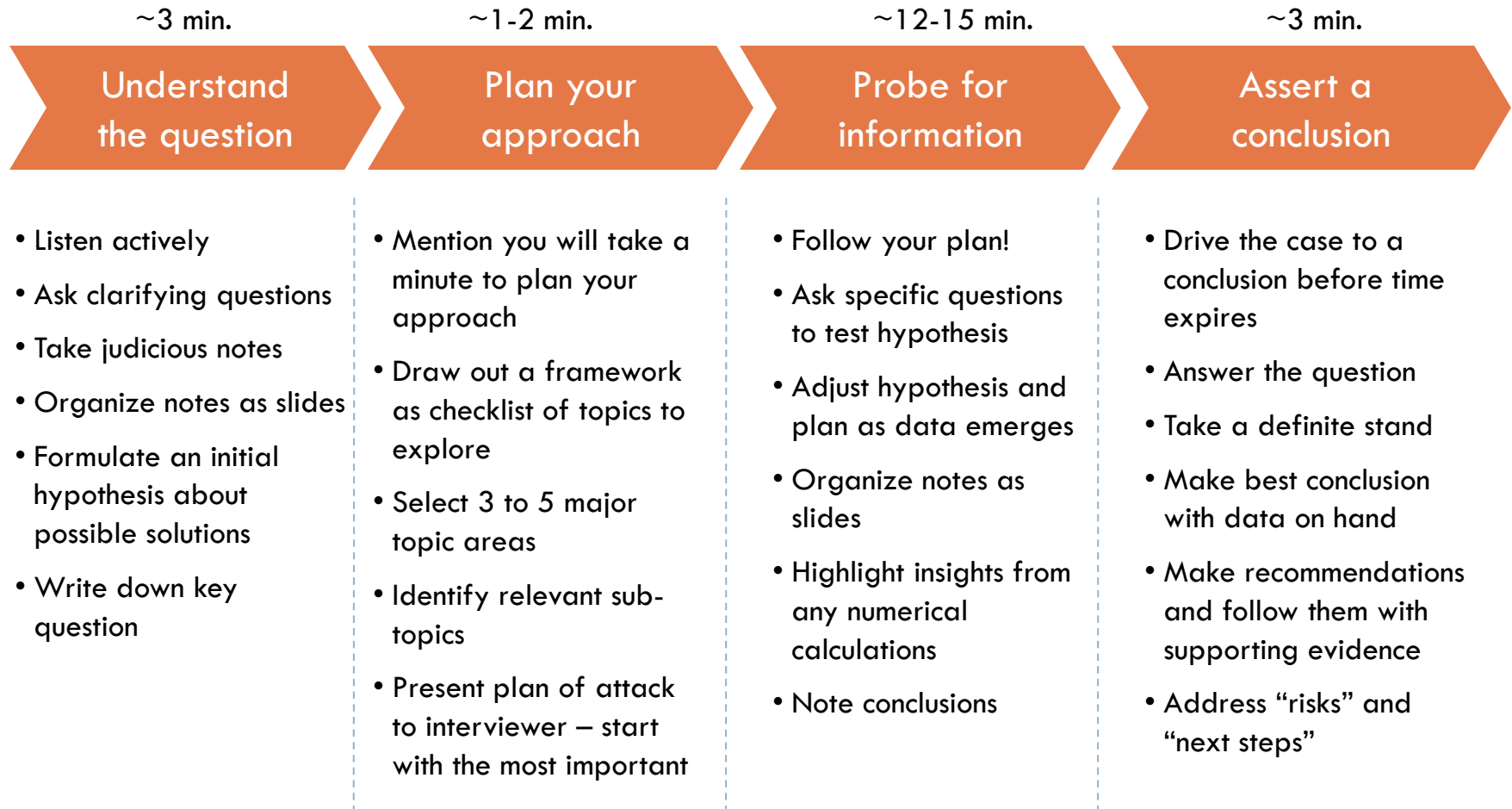
- What is a case?
 - A business issue/problem company is facing in a few sentences
 - Takes about 25 minutes; has limited data which is usually provided if asked for
 - Approach to solution is more important than the final solution
- There are two common case interview methods:
 - **'Go with the flow' cases (typical of most firms)** – You will determine which areas to explore and lead the discussion, i.e. drive the case
 - **Command and control (typical of McKinsey)** – Interviewer guides the discussion and case has heavy brainstorming components and quantitative work
- Common case types* (not a comprehensive list):

□ Profitability	□ Industry Analysis (incl. non-profit)
□ Market Entry	□ Market Sizing
□ Acquisition	□ Capacity Expansion (incl. outsourcing)
□ Organization	□ Investments

**Note: one case could span multiple case types*

Overall flow of a case

26



Tips: Communication, Notes & Math

27

□ Communication

- Explain your thought-process when presenting your plan
- Make hypotheses when asking questions/requesting information
- Go beyond verbal communication
 - Be engaging! Enjoy the case problem and work together to solve it!
 - Body language (eye contact, gestures, posture); smile often but do not overdo it
 - Facial expressions (Maintain composure at all times)

□ Notes

- Write legibly, angle it such that the case-giver can see your work
- Use a new page for each theme you are exploring
- Circle/box insights for use in recommendations

□ Math

- Draw math out clearly (especially for market sizing)
- Explain any assumptions (be reasonable with assumptions)
- Walk through your logic aloud and tie the result to the case

7 Tips to help you stand out in the case interview

28

- Ask questions that help clarify the scope of the case and the exact question to be answered
- Draw out as “MECE” (Mutually exclusive, collectively exhaustive) a framework / tree as possible
- Talk about the most important branches first and explain why they may be the key drivers; don’t just follow the sequence in which you wrote them
- When asking questions or for more data, preface them with contextual analysis, or even a hypothesis as to what you expect the data show
- When doing math, relate the numbers qualitatively to the case, and identify/verbalize the takeaways from your analysis
- ‘Brainstorm in buckets’: If asked to brainstorm, take a minute, identify the broad levers that can answer the question, and run-riot with ideas. Structure and a logical approach is always appreciated.
- When presenting recommendation – take a position! Be concise and top-down in your recommendation (i.e. recommendation first with supporting arguments, tie in numbers if possible). Then, mention the risks that invalidate your reasoning

A note about frameworks

29

- There are an unlimited number of frameworks that can be successfully applied in case interviews...
- ...but knowledge of a few solid frameworks will go a long way (profitability, market entry, go/no go investment, etc..)
- Sample frameworks can be found in the following places:
 - ▣ Wharton, Ross, Stern, Tuck, Kellogg, and other school casebooks available on webcave
 - ▣ David Ohrvall “Crack the Case” and Mark Cosentino “Case in Point”
 - ▣ Your knowledge from management, marketing classes and prior work experience – **read the CORE CONNECTOR** published by the Wharton Consulting Club too
 - ▣ Your own logical problem-solving abilities
- Cosentino and Ohrvall both offer “systems,” but these systems are essentially combinations of individual case-type frameworks
- **Use what(1) You are comfortable with, and, (2) works for you. Be as original as possible: DEVELOP A FRAMEWORK THAT IS RELEVANT TO THE CASE PROBLEM QUESTION AND INDUSTRY!**
- Some sample frameworks are provided in the next few slides. But these are just meant to get you started – do develop your own frameworks for each case!

Sample framework 1: Increase profits

30

Overview

- Client's earnings / profits (or 'bottom-line' in Income Statement) has declined or stopped growing
- You need to recommend ways to increase profits

Sample Framework

SAMPLE

Market

- **Industry**
 - Growth (g)
 - Revenues (R)
 - Profits (Π)
- **Competition**
 - C1 market share (s1)
 - C2 market share (s2)
 - Etc.

Revenues

- **Product mix**
 - Points of Parity / difference our products and competition prod.
- **Pricing (P)**
 - Competitive parity in prices
 - Can we $\uparrow$ prices?
- **Volume (Q)**
 - What's our market share?
 - Enough capacity to meet demand?

Costs

- **Client cost structure (Fixed / Variable)**
 - PP&E (Property, Plant & Equipment)
 - Overhead
 - SG&A
 - Labour
 - Materials
 - IT / Systems
- **Benchmarks**
 - How do our costs stack up vs. others?
- **Supplier power**

Customer / Channel

- **Customer Segment**
 - Which segment do we serve?
 - Are they most profitable?
- **Channels**
 - Current sales mix?
 - Are they low-cost channels?
 - Do these channels attract high margin customers?
 - Incentive structures / performance

Sample framework 2: Market entry; Investment and new technology

31

Overview

- Client is considering entering a new market. Your goal is to recommend whether or not they should enter it
- For these types of cases what is common is that the company is considering spending money to get some kind of economic return. In addition to seeing whether the decision is financially sound, you have to test:
 - Likelihood of implementation success based on industry conditions and firm capabilities
 - Do a risk assessment

Sample Framework

SAMPLE

Strategic Logic	Economics of decision	Risks / Others
• Why are they thinking of market entry? - Growth? - Mature current market? - Response to competitor move? • Resources and capabilities - What does the firm have that makes them think they can be successful? ▪ Brand ▪ Patents ▪ Local expertise/partners	• New market conditions - Total Revenues (R) - Total Profits (Π) - Growth (g) • Competition in a new market - C1 market share (s1) - C2 market share (s2) - Etc. • Economics - Investment required - Expected share of revenues - Expected share of profits - Profitable? Payback period?	• Execution/entry barriers? - Channel access? - Regulatory barriers? - Does firm have \$ to make investment? • Risks - Implementation risk - Political risks? - Currency risk? - Macroeconomic risk?

Sample framework 3: M&A deal

32

Overview

- Client is considering an M&A transaction
- Your goal is to recommend whether or not to do the deal

Sample Framework

SAMPLE

Strategic Fit

- **Basic deal rationale**
 - Cost synergy-focus?
 - Revenue-synergy focus?
 - Early-stage co. being acquired for technology?
 - Response to competitor move?
- **Type of deal**
 - Vertical integration
 - Horizontal
 - New market entry via deal
 - Diversification move

Deal Economics

- **Valuation (Know basic DCF!)**
 - Revenue & Costs
 - CAPEX & Working Capital
 - PBT (profit before tax)
 - Taxes
 - PAT (profit after tax)
 - Cost of capital (R)
 - Value = (PAT / r)
- **Deal Price**
- **Synergies**
 - Cost and Revenue
 - New Firm value
- **New Value > Deal Price**

Risk Assessment

- **Has the company done acquisitions before?**
 - Capability test
- **Organizational cultures**
 - Compatible (high % of M&A deals destroy value as cultures are not compatible)
- **Need to manage PMI (Post merger integration process)**
- **Can investors not diversify by themselves**

Sample framework 4: Outsourcing

33

Overview

- Client is considering outsourcing an operation
- Your goal is to recommend whether or not to do the outsourcing
- Do NOT make a recommendation on cost savings alone – explore areas like customer service impact, premium customer segment impact etc.

Sample Framework

SAMPLE

Strategic logic	Decision Economics	Risks / Others
• Why are they thinking of outsourcing? - Cost savings? - Market entry into BRIC/other markets? - Early-stage co. being acquired for technology? - Response to competitor move? • Customers affected - Which segments? - What are their needs?	• Current costs (in-house operation) • Outsourced costs • Initial investment required - Outsourcing consultants - IT/System investments • Net cost savings	• Risks - Implementation risk? Political risks? - Currency risk? • Partner capabilities - Quality of service - Lead time - Technology - Customer service • Stakeholder mgmt. - Stakeholders – job loss issues etc.. - Manage media & community

IMPORTANT: Sometimes interviews might make a difference between Outsourcing and Off-shoring: former refers to functions that are done outside firm's boundaries. Latter refers to outsourced functions done in a distant location such as India or Ireland.

Sample framework 5: Non-profit organizations

34

Overview

- Client is a non-profit organization
- Your goal is to solve the specific problem for the organization
- Important to display that you understand that non-profits have fundamentally different drivers beside just the economics of a particular decision

Sample Framework

SAMPLE

Strategic Rationale	Deal Economics	Other
• Mission of non-profit - Health - Education - Poverty alleviation - Etc. - Response to competitor move? • Stakeholder opinions and likely reaction - Donors - “Customers” – those who benefit from the non-profit’s services - Volunteers - Paid staff	• Planned investment - What will it cost? - Do we have the money? • Returns, if any - Will we be getting back money? - Will organization make / lose money on this?	• Required capabilities - Does non-profit have what it takes to do this well? • Risks - How will media perceive this decision? - Critical to factor in stakeholder reactions – will this alienate donors, volunteers etc.?

After developing a framework, problem solving requires smart follow-up questions & insights

35

Examples

- Should client **enter new market**? What is NPV?
- Should client do **M&A**? Post-merger integration risk?
- How can client **increase profits**? Quantify increase.
- How can client **reduce costs**? By how much?
- Should client make **new investment**? What is NPV?
- How can client **increase share**? Quantify increase.
- How can client **grow revenues**? Quantify increase.
- Should client **outsource**? Compare/value alternatives.

- **Wide variety of decisions** businesses face
- Where possible, you will be guided to **quantify improvement (i.e. to do some basic applied math)**

Some solution drivers

SAMPLE

Strategic analysis

- What are **industry trends**?
- Info on **competitors/market shares**?
- Strategic **rationale** underlying decision?

Economic analysis

- What **products? Prices? Volume**?
- What's the **cost structure**?
- **Profit impact** for client?

Customers / channels

- Which **customer segments**?
- What are **customer needs / wants**?
- What **channels? Sales force**?
- Any **regional/geographic** concerns?

Catch-all / Other

- What are the **risks**?
- Any **regulatory issues**?
- Any **organizational** behavior issues?

- Not all issues/drivers will be relevant but list should let you quickly zone in on key to problem
- For these drivers, think about:
 - a. Changes over time?
 - b. Compare client with competition etc..
- This is meant to be a thought starter – not a comprehensive list

Tips for giving cases

36

One should broadly follow these steps when giving cases to fellow students

Prepare yourself

- ✓ Read the case thoroughly
- ✓ Don't give a case that you have not studied yourself
- ✓ Have any exhibits ready for use during the case
- ✓ Be ready to take notes

Ask questions

- ✓ Best way to make cases interesting to provide necessary hints indirectly - for ex by asking related questions
- ✓ Follow the case flow as provided in the original format – It helps in objective assessment

Make it real

- ✓ Make the experience as close to real as possible
- ✓ Be serious during the case even if you give the case to your best friend
- ✓ Be tough – test candidate's ability to deal with a negative vibes from interviewer
- ✓ Control the time. Do not exceed 30-35 minutes for the case portion!

Guide only when necessary

- ✓ Give out information only when right question is asked
- ✓ Idea is to let candidate stretch herself and get a feel for real situation

Step wise approach

- ✓ Introduce the problem statement
- ✓ Allow 3~5 mins for candidate to gather her thoughts
- ✓ Answer any questions that candidate may have
- ✓ Guide the candidate accordingly if she is digressing from key issue

Provide honest feed back

- ✓ Go back to your notes and think of both strengths and weaknesses
- ✓ Be specific – What was the mistake and what's the right approach
- ✓ Be Honest – its in candidate's best interest to make mistake with you and learn from them

Remember that there is no one answer to any case! A candidate can be creative enough to take a new approach towards the problem.

Other references: Case prep

37

- There are a number of other resources to learn about case prep. We found the following particularly useful:
 - ▣ Kellogg 2004 Casebook – Pages 5 to 44
 - ▣ Ross 2007 Casebook – Pages 3 to 25
 - ▣ Older Wharton Casebooks

Remember, cases are about problem-solving abilities, not whether you are an industry expert

38

Background

- Case interviews span a broad range of industries. You may encounter everything from Financial Services to Mining to Education to Formula 1
- Those of you who have not worked as consultants before will likely not have any background in most of these industries
- This document can give you a **very high level view of some 'typical' industries** that cases focus on
- You **MUST** attend the industry primer series led by partners from various firms as they will capture key insights and latest trends in those industries that tend to be popular in cases

Our belief

- We believe that having a very basic **overview of an industry helps to more effectively tackle a case**
- At the very least it helps you construct a framework that is most applicable to that particular problem context. Examples:
 - Consumer goods: **branding is an important driver of success**
 - Pharma: **generics manufacturers pose a major competitive threat**

Important Warning!

- **Do not attempt to master industry specifics or memorize industry data**
- Your primary objective over the next few weeks/months is to **master case-based problem solving... not to become an industry expert**
- Spending a little time informing yourself about the basics of a few key industries should improve your problem-solving ability. The following pages will help in this endeavor.

Airlines

39

Overview / Products & Services

- Airlines provide air transport services for passengers and/or freight

Key Trends

- Consolidation - multiple high-profile mergers
- Fare competition – airlines compete to undercut one another on competitive routes
- Low-cost carriers - recent entrance by smaller carriers trying to replicate Southwest Airlines' low-cost model

Competitive Landscape

- Established legacy carriers (e.g., Delta, American, United) compete with each other and with low-cost operators on multiple domestic routes; price is usually the major competitive factor. Some domestic carriers also operate international routes, placing them in competition with overseas airlines

Customers

- Individual consumers
- Corporations/small businesses
- Travel web sites/resellers

Channels

- Internet – airline websites, online ticket resellers
- Telephone – airline call center agents
- Travel agents
- Over-the-counter – walkups at airports

Profit Summary

- Revenue: Ticket revenues, excess/oversize baggage fees, food and beverage sales
- Costs: VC: fuel, food and beverage, ground crew/hourly employees FC: aircraft leases, airport gate leases, IT/admin costs, salaried employees (i.e., pilots)

Consumer Packaged Goods (CPG)

40

Overview / Products & Services

- CPG companies provide consumers with a range of household products etc.. soaps, pet supplies, snack foods etc..

Key Trends

- Lifestyle/consumer behavior e.g. aging population, social networks, online advertising, go green, economic downturn
- New products critical to success
- Completely new, slightly improved, product line extensions
- In addition, companies driving 'outside-in' product innovation (from outside of R&D division)
- Product mix and Brand management are critical to CPG companies
- Emerging markets – India & China – seen as important source of future growth

Competitive Landscape

- Proctor and Gamble (P&G); Unilever, Clorox, Kelloggs , Campbell's, Frito Lay, ConAgra Foods, Colgate-Palmolive, L'Oreal, Estee Lauder

Customers

- Individual Customers
- Discount Wholesalers (Sam's Club, Costco)
- Large box retail (Wal-mart ,Target, Safeway)
- Convenience Retail (7-11, Rite-Aid)

Channels

- Retail
- Wholesale
- Direct (web and mail order)

Profit Summary

- Revenue : Volume of goods sold; Price premium on branded goods
- Cost s: Branding, Sales and Marketing, COGS (commodity costs – raw & packaging material)

Financial Services: Consumer Banking

41

Overview / Products & Services

- Provide deposit-based services, credit cards, consumer loans, payments etc..
- Broad range of financial products are sold by banks whose main function is to collect money from those who have savings and loan money to those who need it.

Key Trends

- Credit crisis / financial meltdown threatened solvency of industry due to illiquid assets difficult to value
- Consolidated, mature industry with primary growth through acquisitions
- Demographic shift (baby boomer aging) creating large market for retirement products
- Offshoring of various functions to reduce expenses (e.g. call centers, back office functions)

Competitive Landscape

- Large national players (Bank of America, Citi) compete with regional banks.
- Largest players services extend well beyond commercial banking to investment banking, securitization, proprietary trading, etc. with services that are increasingly opaque

Customers

- Individual consumers
- High net worth consumers (priority segment)
- Small/medium businesses without sufficient size for larger investment banking financing services

Channels

- Still large face-to-face presence with bank branches, tellers, etc.
- Increasing use of ATM services, online banking
- Banks increasingly offer credit cards, home loans, etc. as means to increase asset base

Profit Summary

- Revenue: Net revenue is the spread between bank's borrowing cost and the rates charged to borrowers; fees
- Costs: Overhead (branches, administration, compliance); Salaries; Bad Debt Expense

Financial Services: Insurance

42

Overview / Products & Services

- Insurance is fundamentally about underwriting various types of risks. Customers make regular payments (premiums) to the insurer for coverage when unforeseen events, e.g. car crash; fire damage; death; credit default) occur
- The insurer invests premiums to generate sufficient income to match future assets with future liabilities

Key Trends

- Credit crisis / financial meltdown threatened solvency of industry due to illiquid assets difficult to value
- One of the global leaders (AIG) nationalized in credit crisis, emphasizing the importance of monitoring investment portfolio
- US national healthcare policy changes could completely change the landscape of the health insurance market
- Companies focused on managing risk and controlling costs

Competitive Landscape

- Several large, integrated players operating across multiple parts of the industry (AIG, Prudential, etc.)
- Some niche players focusing in a particular segment (Geico)

Customers

- Individual consumers seeking to manage risk at home / on the road
- Small/medium/large businesses seeking to manage risks of property damage, liability, etc.

Channels

- Insurance agents (sales force) still manage much of the front-end sales process to businesses/individuals
- Online sales becoming easier with better websites and aggressive marketing
- Direct marketing to employees via in-office demonstrations (Aflac supplemental insurance, etc.)

Profit Summary

- Revenue: Net revenue is the spread between premiums collected and claims/payments made over time
- Costs: Overhead (administration, compliance); Salaries; Sales Commissions; Marketing

Manufacturing

43

Overview / Products & Services

- Manufacturing sector includes companies that are in the business of mechanical, physical, or chemical transformation of materials/substances/components into new products
- Subsectors include: textile, paper, chemical, computer/electronics, transportation equipment, machinery

Key Trends

- Manufacturing is highly cyclical in most sectors
- US manufacturing, traditional strength of US economic growth, has suffered due to higher cost structure (labor in many cases) as companies outsource manufacturing to lower-cost regions of the world

Competitive Landscape

- General Motors, Chrysler, Ford, Toyota, Honda
- Boeing, Airbus
- GE, Phillips, Siemens
- Honeywell, Dow, Corning

Customers

- Varies by industry, can be end-consumer, OEM (original equipment manufacturer) – B2B
- Automotive: Primarily end consumer; Metal: airplane, automotive, tool/die manufacturing; Apparel: End Consumer; Plastics: medical industry, machinery manufacturing; Infrastructure/Machinery: Government, Utilities, Rail operators; Chemicals: pharmaceutical, process technology, semiconductor manufacturing

Channels

- Retail (Automotive, Apparel – industries where end-consumer is primary customer)
- Wholesale – B2B (Plastics, Chemicals, Pharmaceuticals, Metal, Machinery, Semiconductors, Computer Hardware – Industries where the customer is another business)

Profit Summary

- Revenue: diversity of customers, volume (automotive: high, airplane manuf: low), emerging markets, adjacent industries, new technologies/products, end-consumer demands
- Cost: outsourcing (potential quality), process efficiency, supply chain management (inventory turns), labor (unions), raw materials/commodities, channel management (i.e.. Auto dealers), marketing, capital investment

Media

44

Overview / Products & Services

- The media sector includes print, audio and video content generation and dissemination. The various subsectors are unique yet have many overlapping attributes. Primarily an advertising-supported industry, the media space faces unprecedented challenges as online media continues to disrupt traditional business models.

Key Trends

- The digitization of media has required considerable capital investment by media content generators. The rapidly improving speed of the wired internet and wireless devices creates questions about how media will ultimately be consumed – via internet, via cable, via mobile? Service providers may converge over time. The proliferation of “free” content has harmed content generators but created opportunities for new channels.

Competitive Landscape

- Varies by subsector. Media players generally compete for audience interest in order to generate more advertising revenue. Landscape is very competitive with a few major players owning integrated portfolios across the entire media universe (Disney, Viacom, News Corp, etc.)

Customers

- While individual consumers seem to be the customers, in reality consumers are part of the product. Audience reach, ratings, circulation measures are utilized to sell advertising. Potential advertisers are the real customers in traditional models although individual consumers may be the customers for some subscription models.

Channels

- Print: traditional paper product & online / mobile
- Television: traditional broadcast / cable / satellite & online / mobile
- Movies: traditional theatres, rentals & online (to a growing extent)

Profit Summary

- Revenue Drivers: advertising, subscriptions in some cases (there is talk about moving to higher subscription model for premium content)
- Cost Drivers: VC: production costs (salaries of staff, technology); FC: capital costs (studios, printing presses); overhead, marketing & advertising

Pharmaceuticals

45

Overview / Products & Services

- Branded/ Ethical/ Originator drug producers produce original patent-protected (for a certain period of time) drugs for human and animal diseases
- Generic drug producers produce 'copy-cat' drugs (with the same medical result) at a lower development cost when the originator drug's patent expires

Key Trends

- Price competition from generic drug manufacturers
- Increasing pressure from health insurance companies and hospital chains to reduce prices
- R&D challenge of finding high revenue drugs ('Blockbusters' have annual sales > \$1B)
- Loss of patent on key drugs for many large Pharma Cos. around 2010-11

Competitive Landscape

- Key success factor comes down to one thing: products
- Products target various treatment areas (TA): cancer, cardiovascular, psychology etc.
- US, Europe and Japan are largest markets although emerging market opportunity (eg. China) is growing
- Food & Drug Authority (FDA) needs to approve all drugs before sale

Customers

- Doctors who prescribe these medicines
- Insurance companies that pay for them
- Patients/consumers who need these drugs/medicines
- In some emerging markets, various officials (hospital, provincial and central government) may control channel access

Channels

- Over the counter ("OTC", can be sold without prescription): Retail outlets – CVS, Walgreens; Mail order
- Prescription drugs: Hospitals; pharmacies
- B2B: Distributors / intermediaries ; hospitals; pharmacies

Profit Summary

- Revenue Drivers: Size of specific treatment area / level of competition; Buy-in from doctors that will prescribe; Speed to market/ expertise in difficult products (for generics)
- Cost Drivers: VC: sales and marketing (doctor visits, sponsored studies); FC: R&D (drug discovery, formulation, clinical trials; a lot of this is now outsourced; generic companies only need to perform clinical trials)

Private Equity (Go/No Go Investments)

46

Overview / Products & Services

- Equity that is not publicly traded
- Common forms include Leveraged Buyouts (LBOs), Venture Capital (VC), Mezzanine Capital, Distressed Investments, and Growth Capital

Key Trends

- Larger amounts of equity required for each deal
- Potential wave of deals failing in the coming years
- Buying and selling of current PE commitments likely to increase over the next few years
- Growing need for PE firms to have cash margins

Competitive Landscape

- Deal volume has sharply declined recently
- Large (e.g. KKR, Carlyle, Blackstone, TPG), Mid (\$250M to \$5B), and Small Market PE shops

Customers

- New customers of PE deals may be corporations
- Institutional investors
- Customers can range from small family-owned companies to large corporations

Channels

- Leveraged Buyouts: controlling interest (of equity) is acquired through high borrowing
- Venture Capital: investors give cash in exchange for shares/control of invested company; typical with start-ups
- Mezzanine Capital: financing that contains equity based options and subordinated debt (e.g. convertible loans)
- Growth capital: financing to expand, restructure, or enter new markets with little change in management
- Distressed Investments: investing in financially stressed companies

Profit Summary

- What financial levers can be pulled to make this more profitable (various ways to access cash, cap structures, etc.)?
- What operational levers can be pulled to make this deal better (more efficiencies, new management etc.)?
- What return on investment is required to make this investment worthwhile?
- What is the timeframe of return on this investment?
- Is there a better (more profitable) investment where money should be spent?

Technology

47

Overview / Products & Services

- The technology industry broadly consists of the systems (PCs, servers), semiconductors, communications equipment, software, internet and IT services subsectors.

Key Trends

- Increasing M&A Activity: As growth has slowed in certain subsectors (systems, software), leading vendors have utilized M&A for growth, offering customers a one stop shop proposition (i.e. HP/Compaq, Oracle/Peoplesoft)
- Co-opetition: Leading vendors co-exist as competitors and collaborators. This is a key characteristic of the industry and has become even more so as players move into adjacent subsectors. Examples include: Microsoft/Intel, Oracle/IBM
- Cloud Computing: Offering IT as outsourced utility has implications across subsectors

Competitive Landscape

- Systems: IBM, Hewlett-Packard
- Semiconductors: Intel, Samsung, Toshiba, Texas Instruments
- Communications Equipment: Cisco, Nokia, Samsung
- Software: Microsoft, IBM, Oracle / Internet Software: Google, Yahoo!, Microsoft
- IT Services: Accenture, IBM, HP/EDS

Customers

- Relevant splits:
 - By size: Enterprise, SMB (small/medium businesses), Retail
 - By type: Business vs. consumer

Channels

- Varies by customer focus. Business/Enterprise-focused players tend to rely on direct sales force. SMB/Retail/Consumer tend to rely on indirect channels.

Profit Summary

- Systems: Lower margin (COGS management key to profitability)
- Semiconductors: High fixed costs (capex) and highly cyclical; manufacturing utilization
- Communications Equipment: Manufacturing utilization
- Software: license/maintenance versus subscription service model; renewal rates; high gross margins, but high R&D expenses
- IT Services: staff utilization; revenue per employee
- Internet: revenue per click

Telecommunications / Mobile

48

Overview / Products & Services

- Telecommunications is a mammoth industry, comprising companies that make hardware, produce software, and provide services. Hardware includes a vast range of products that enable communication across the globe, such as broadcasting satellites, telephone handsets, fiber-optic cables etc.. Services include running the switches that control the phone system, Mobile and Internet access, and configuring private networks by which international corporations conduct business. Software makes it all work, from sending and receiving e-mail to relaying satellite data to controlling telephone switching equipment.

Key Trends

- The industry has grown and evolved at an incredible pace for the last 20 years. Mobile phone penetration approaching 50% globally; Mobile broadband subscribership has topped 200 million worldwide; rollout of 3G networks in emerging markets causing mobile broadband subscribers to outnumber fixed-line broadband subscribers.
- Many households are giving up their landline, preferring to use a cell phone or VoIP services (Skype, Vonage) on their computer.

Competitive Landscape

- Landscape is very competitive and wireless carriers have undergone a wave of consolidation: In recent times, Cingular acquired AT&T Wireless; Sprint joined Nextel; and ALLTEL acquired Western Wireless.
- Big 4 cellular players are AT&T, Verizon, T-Mobile and Sprint Nextel
- Cable companies attempting to capture wireless customers through wireless service offerings of their own (or in partnership) e.g. Comcast introducing WiMAX service in Portland, Ore; COX will offer cell phone service late '09.

Customers

- Individuals, companies and governments.

Channels

- Carrier-owned stores and leading retailers like Wal-Mart, RadioShack and Best Buy are significant channels for mobile phone sales and service.
- Major carriers have online stores for phone and service purchases. They are joined online by all of their retail competitors (Best Buy, Walmart, RadioShack) as well as amazon.com, wireless specialty retailers like letstalk.com and Wirefly.

Profit Summary

- Revenue Drivers: Subscriptions, data services (SMS, email and internet access on cell phones), mobile advertising, app stores.
- Cost Drivers: VC: marketing & advertising, salaries; FC: capital costs (equipment, infrastructure – cell towers, network maintenance, stores); overhead

Contents

49

Section	Page #
□ Introduction	3
□ Consulting Industry Guide	6
□ Industry Overview	
□ Firm Overviews (10 Firms)	
□ Interview Preparation	18
□ Interview Overview – Fit + Case	
□ Sample Frameworks	
□ Industry Snapshots	
□ Practice Cases	50
□ 14 Practice Cases	
□ Links to Other Cases	126
□ Cases from Firm Websites	
□ Suggested Cases from other Casebooks	

List of Practice Cases

50

Case Description	Page #
□ Case 1: Whisky Brand Turnaround	51
□ Case 2: Copper Ore Mining Investment	56
□ Case 3: Telecommunications Service Provider	61
□ Case 4: Major Magazine Publisher	63
□ Case 5: Tulsa Hotel - OK or not OK?	68
□ Case 6: The Coffee Grind	74
□ Case 7: FoodCo	81
□ Case 8: Candy Manufacturing	85
□ Case 9: Chickflix.com	93
□ Case 10: Skedasky Farms	103
□ Case 11: University Apartments	108
□ Case 12: Vidi-Games	112
□ Case 13: Big School Bus Company	118
□ Case 14: American Beauty Company	123

Case 1: Whisky Brand Turnaround

Introduction

51

Problem Statement Narrative

Our client has been in business for close to 90 years. The original founder started in the whiskey business and over time expanded the product line so that today it is a multi-million dollar business with less than 5% of sales coming from whiskey.

The whiskey market in the US (our relevant market) has been declining at 2% over the last 20 years and our client's brand has been declining at the same rate.

While the company has great passion for the whiskey brand, in recent years they have been paying limited attention to it. Last year however, events happened that caused our client to pay attention to their whiskey brand. While sales of the market declined at 2% our client's brand declined by 15%, despite selling 10m bottles.

Our client has come to us to understand what has happened and how to grow the brand back without lowering the profits they were making on it.

Overview for Interviewer

To help understand why our client's whiskey brand has declined it helps to use an internal vs. external framework. Possible internal reasons:

- Reduction in marketing spend
- Decline in quality of marketing or product quality
- Product availability (production/supply chain)

Some possible external reasons:

- Negative PR
- New competitor launch
- Increase in competitor marketing
- Pricing effects

Information to be Provided Up Front

The information provided in the statement is all the candidate receives at this point. Once the candidate reaches the point of talking about competitors and their products the hand out (next page) should be given.

Case 1: Whisky Brand Turnaround

Provided Data

52

Competitor Analysis

Interviews with advertising experts and an examination of competitors' ad pages have shown that while marketing spend hasn't changed significantly, there has been significant changes in prices within the industry.

Brand	Place of sale	Cost to produce	2007 price	2008 price	2009 price
Client	Grocery, Specialty stores	\$8.00	\$14.75	\$14.75	\$15.00
Competitor A – Premium	Specialty stores	\$8.25	\$15.00	\$17.00	\$19.00
Competitor A – Own brand	Grocery	\$6.50	Not launched	Not launched	\$9.00
Competitor B – Premium	Specialty stores	\$8.25	\$16.00	\$17.75	\$19.75
Competitor B – Own brand	Grocery	\$6.50	Not launched	Not launched	\$9.75

Case 1: Whisky Brand Turnaround

Questions to Answer

53

How could we determine if there has been change in relative marketing spend against our major competitors?

First we need to gather information on our own marketing spend to have a basis for comparison.

Secondly, we need to determine our competitors' marketing spend, which we could do through several sources:

- Internal interviews
- External benchmarking through competitor company reports
- Analyze number of pages in various publications
- Interviews with experts within the advertising and marketing industry

After discussions about the industry and the competitors the handout should be given to the candidate and they should be given a couple of minutes to take in the data.

What are the options our client has assuming they want to stay in the whiskey business and how should they price their whiskey brand?

It is important for the candidate to realize that our client's product is a premium product and that is based on the cost to produce. Given this information it would seem that our client needs to try and increase prices in order to be perceived as a premium product comparable to the competitor premium brands.

It would be reasonable to suggest a price of \$19.00-\$20.00 for our client's brand. The candidate should be asked to justify any answer provided.

What conclusions can we draw from the table?

We have 2 main competitors, each with two different brands (premium and own brand).

Competitors have been steadily raising prices in their premium category, aiming at a segment of consumers who are willing to pay more. These consumers it seems prefer to buy at specialty stores. It is likely that our competitors have succeeded to capture a lucrative share of the market.

Additionally both competitors have launched this past year "own brands" and selling them through grocery stores. These own brands are significantly cheaper than the premium brands and have a lower cost to produce.

It seems that competitors have been capturing the lucrative top end of the market while also launching new own brands that have captured the price sensitive consumers, effectively squeezing our clients brand out of the market.

Case 1: Whisky Brand Turnaround

Math

54

Math

Once the options have been discussed the following information should be provided:

Based on market research our client believes that if they increase their price to \$20.00 they will be able to sell 8m bottles. The costs of producing whiskey are 75% variable and 25% fixed.

The candidate should now calculate the total profit of the two options to see which one is better. Notice that they all ready know the price today (\$15.00) and the quantity today 10m and this information should not be given again.

Today:

$$TR = 10m \times \$15 = \$150m$$

$$FC = 25\% \times \$8 \times 10m = \$20m$$

$$VC = 75\% \times \$8 \times 10m = \$60m$$

$$Profit = \$150 - \$20 - \$60 = \$70m$$

New Pricing Option:

$$TR = 8m \times \$20 = \$160m$$

$$FC = \$20m$$

$$VC = 75\% \times \$8 \times 8m = \$48m$$

$$Profit = \$160 - \$20 - \$48 = \$92m$$

(The fixed costs do not change!)

Examining the two options it seems that an increase of price to \$20.00 would increase total profits by \$22m an increase of ~30%.

Case 1: Whisky Brand Turnaround

Final Questions and Conclusions

55

It would appear that the higher pricing option is very favorable to our client. What complication might arise from such a price increase?

In the short term, we need to be aware of how our competitors react to this move in pricing, branding and advertising. Our move could provoke additional price increases from our competitors leaving us in the same position we were before. We should also be aware of possible difficulties in marketing our brand in the premium category as the third mover.

Further complications could arise given that our changes in our whiskey brand may impact negatively our wider liquor portfolio, if customers who stop purchasing our whiskey brand will also stop purchasing other liquor brands that our client owns.

Lastly we should be careful with the number of 8m bottles as given to us by the client. If this number is too optimistic the results could be significant.

Conclusions

Recommendation:

Our client should increase its price to \$20.00 per bottle. This increase will generate an additional \$22m in profits, an increase of 30%!

Some potential risks of this move include: competitor response, optimistic data from client and consumer perception of our brand. Some next steps include: Validating data, creating marketing and advertising plan, preparing the market for significant price increase.

Case 2: Copper Ore Mining Investment

Introduction

56

Problem statement narrative

Our client in this case is Excavator Mining Co, a large diversified mining company. Excavator is considering developing a mine site to produce copper ore. Excavator has two options for developing the site. Develop alone, or enter a JV with a competitor – Drillhammer Mining Co. In addition, Drillhammer owns a nearby mining site which it could develop to produce copper ore, supplying the same market. Should Excavator develop the mine alone, with Drillhammer, or not at all? What arrangements should be made with Drillhammer, if any?

Overview for interviewer

This case has two main components. First, evaluate the financial attractiveness of each option for both Excavator and Drillhammer. Some cost and pricing information will be provided to do this. After this analysis, it should be evident that the JV is the preferred option as it creates the highest overall value for the industry. The second question is how should the value be split between the players under a JV arrangement. After the candidate presents his/her framework, give candidate the handout containing an overview of the situation. The candidate can then be given cost and pricing as requested.

Case Type: Investment decision/JV negotiation
Case Style: Command & Control

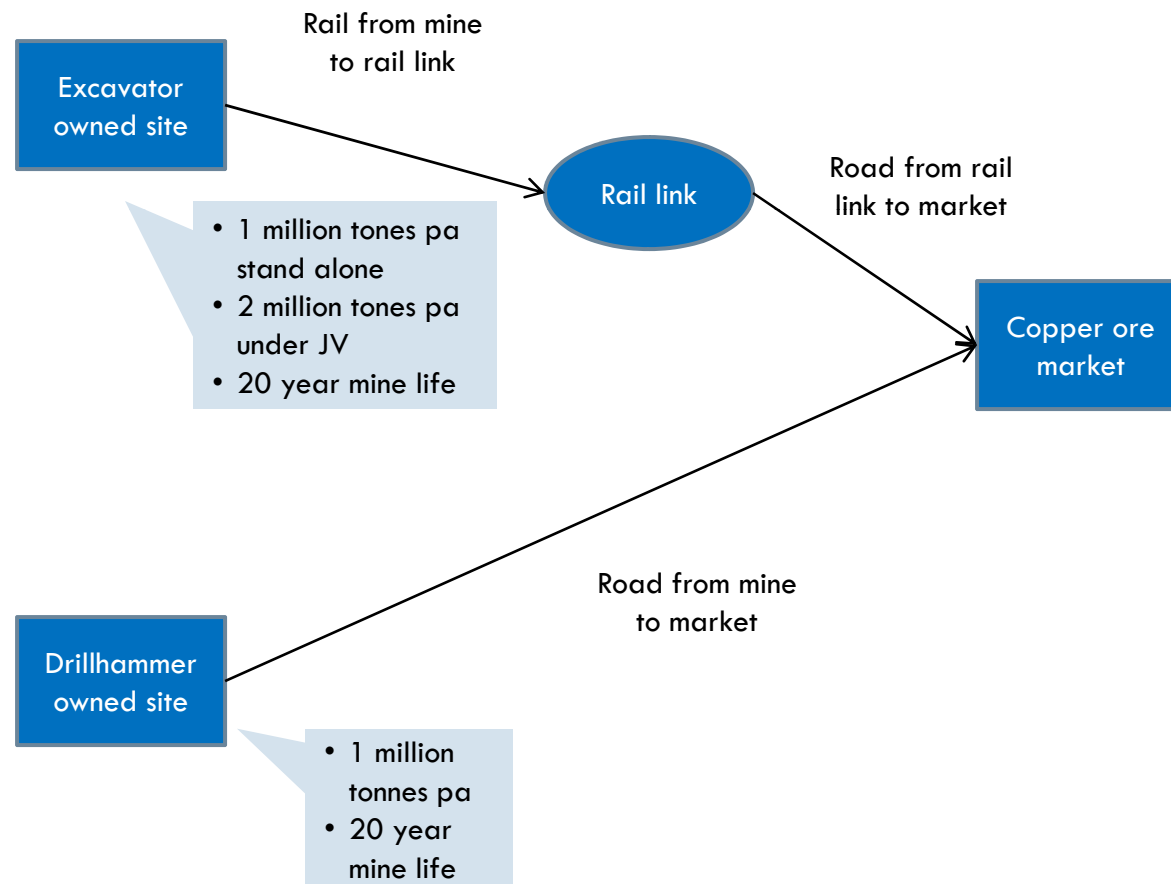
Information to be provided upfront (hand candidate attached exhibit)

The information on the following page is to be given immediately. And provides an overview of the situation. The page that follows shows the calculation that the candidate should be working towards – estimated the value for each player under the different scenarios.

Case 2: Copper Ore Mining Investment

Financial Analysis of Investment Options

57



Case 2: Copper Ore Mining Investment

Financial Analysis of Investment Options

58

MINE FINANCIAL ASSESSMENT					
			Excavator alone	Drillhammer alone	JV at Excavator site
Capacity	Tonnes pa		1,000,000	1,000,000	2,000,000
Mine life	Years		20	20	20
Copper ore price	\$ per tonne		50	50	50
<u>Operating Costs</u>					
Mining costs	\$ per tonne		20.0	28.0	15.0
Rail transport costs	\$ per tonne		10.0		10.0
Road transport costs	\$ per tonne		5.0	25.0	5.0
Total operating costs	\$ per tonne		35.0	53.0	30.0
Operating profit	\$ per tonne		15.0	(3.0)	20.0
Total profit over mine life	\$ Millions		300.0	(60.0)	800.0
Capital investment	\$ Millions		(180.0)	(140.0)	(340.0)
Total Value	\$ Millions		120.0	(200.0)	460.0

Case 2: Copper Ore Mining Investment

Discussion Points

59

Key discussion points

Industry overview

- The overall industry is not particularly relevant here, so steer the candidate away from any five forces analysis or similar

Financial calculations

- Provide information as requested by candidate
- Ignore time values of money
- A relevant question is why the mine production at Excavator's site is larger under the JV – this can be attributed to capital requirements for Excavator alone, or regulation

JV discussion

- Once the value of each option has been calculated, it is clear that the JV is the highest value option
- The next question is what JV arrangement would be acceptable to both parties? Is a straight 50/50 split (\$230M) fair?
- A discussion should follow around how each player would view the JV and what their next best alternatives are (we assume neither has copper ore mining options beyond those here).
- Without the JV, Drillhammer will not invest in its site (loss-making) and so the value it receives is 0. Excavator will invest alone, and will receive \$120M of value. The total value for both players is \$120M.
- With the JV, the total value for both players is \$460M. So the JV adds $\$460M - \$120M = \$340M$ for the industry. This \$340M should be split evenly between the two parties vs their next best alternative. Drillhammer receives $\$170M + 0 = \$170M$. Excavator receives $\$170M + \$120M = \$290M$. This is the most likely outcome of a negotiation between the two parties.
- Other broader discussion points:
 - History of JVs between the two parties?
 - Alternative use for the mine site – could it be sold for more than JV value?
 - Potential for infrastructure sharing between the two sites?

Case 2: Copper Ore Mining Investment

Discussion Points

60

Sample Recommendation

Excavator should pursue the JV and settle for not less than \$290M worth of value from the site.

BONUS

Sensitivity to pricing assumption:

- Forecasting the Copper ore price over the next 20 years is a difficult exercise - how would a higher or lower copper price affect the decision? What if prices were high enough for Drillhammer's site to be profitable?

Case 3: Telecom Service Provider

Introduction

61

Our client is a telecommunications service provider. They have been experiencing customer retention problems. What do you think can be drivers of such a problem?

Drivers of Retention Problems

- Voluntary
 - Deliberate
 - Technology (Handsets, Features, New Technology)
 - Economics (Per minute, Activation, Subscription fee)
 - Quality (Coverage, Call quality, Customer Service, Billing)
 - Social (Image, Family and friends)
 - Convenience (Internet, Retail Channels)
 - Incidental
 - Finances
 - Location
 - Major life changes
- Involuntary:
 - Fraud
 - Non payment

Information to be Provided If Asked

Information to be provided if asked:

There are 3 major players in the market

Our client has the higher coverage on average

Its voice services are more expensive than other providers.

Case 3: Telecom Service Provider

Question 2

62

Question 2

A recessionary environment is expected next year and churn rate is expected to increase in favor of cheaper service providers. To maintain the current number of subscribers, how many customers should the firm steal from its competitors?

Information to be Provided If Asked

Market size: 100M
Market growth rate: 1%
Market shares for the companies:
 Our client: 50%
 Firm A 30%
 Firm B 20%
Current churn rate 3%
Recession increases churn rate by 50%

Calculations

- Number of current subscribers: 50% of 100M = 50M
- Assuming that our client gets 50% of new subscribers as well: 0.5 M new customers
- Churn rate this year is $3\% \times 1.5 = 4.5\%$
- $50M(1 - 4.5\%) + 0.5M + \text{Customers to be stolen from competitors} = 50M$
- $47.75 + 0.5 + \text{Customers to be stolen from competitors} = 50M$
- Customers to be stolen from competitors = 1.75M

What can our client do to decrease the churn rate?

Recommendations:

- New price plans. Customized price plans for each customer/segment
- Predict defection. Create an offer for the possible defectors
- Sell them other products. Create switching barrier
- Thank and survey existing customers
- Send customized product and service offerings
- Customize the response and communication to customers
- Review usage real time
- Set up referral programs
- Develop a loyalty program
- Watch the seasonal churn
- Improve coverage: Number one reason for churn

Case 4: Major Magazine Publisher

Introduction

63

Problem Statement Narrative

Your client is a Major Magazine Publisher. Currently, they own a Women's magazine (similar to *Cosmopolitan*) and a Personal Finance magazine (similar to *Fortune*). They are considering launching a new magazine about Fine Living, targeted to Wealthy Males (similar to *GQ*). What is the market size, and should they do it?

Overview for interviewer

This is a straightforward case, covering Profitability, Go/No Go Investments and Market Sizing. Information will likely be given at the beginning of the case, and then more throughout the case, as calculations are made.

Information to be given with handout

Is there a goal that the company is trying to reach with the launch of the new magazine?

Yes, the company would like to hit \$10M in annual revenue.

Does the company have the resources to launch a new magazine?

Yes.

Is the new magazine offered only in print, or online as well?

It will be offered only in print.

In what ways can the magazine be purchased?

It is offered as a yearly subscription - 12 issues per year.

It can also be bought retail - one issue at a time.

What is the target geography for the magazine?

It will be offered in the U.S. only.

What are the costs of the magazine?

Costs can be ignored in this analysis.

Case 4: Major Magazine Publisher

Market Size

64

Potential approach to solving the case

Q1. Market Size

Q2. Profitability

Q3. Recommendation (Risks and Other Considerations)

Q1: What is the market size (in people)?

Information to be given if asked:

300M people in the U.S.

50% Male → 150M males in the U.S.

Age demos split evenly (Age 0-20, 21-40, 41-60, 61-80)

Market research shows that 10% of Age 21-40 demographic is Wealthy, that 10% of Age 41-60 is Wealthy and that 5% of Age 61-80 is Wealthy

People under 20 are too young for the magazine

Calculations:

Can be split evenly by age group:

Age 0-20: $25\% \rightarrow 150M(25\%) = 37.5M$

Age 21-40: $25\% \rightarrow 150M(25\%) = 37.5M$

Age 41-60: $25\% \rightarrow 150M(25\%) = 37.5M$

Age 61-80: $25\% \rightarrow 150M(25\%) = 37.5M$

Can be broken down further by target demographic

Age 21-40: Assume that 10% are Wealthy $\rightarrow 37.5M(10\%) = 3.75M$

Age 41-60: Assume that 10% are Wealthy $\rightarrow 37.5M(10\%) = 3.75M$

Age 61-80: Assume that 5% are Wealthy $\rightarrow 37.5M(5\%) = 1.875M$

Total market size = $3.75M + 3.75M + 1.875M = 9.375M$ people, or rounded to 9.4M people

Case 4: Major Magazine Publisher Profitability

65

Potential approach to solving the case

Q1. Market Size

Q2. Profitability

Q3. Recommendation (Risks and Other Considerations)

Q2: What is the market size (in \$)?

Information to be given if asked:

There are two ways that the magazine can be purchased.

Subscription: 12 issues per year, \$3 revenue/issue

Retail: Assume 4 issues per year, \$5 revenue/issue

Assume that the market is split 50/50 subscription and retail.

Calculations:

$9.4\text{M}(50\%) = 4.7\text{M}$ subscribers, 4.7 retail customers

Subscription revenue = $4.7\text{M}(12 \text{ issues})(\$3) = \$169.2\text{M}$

Retail revenue = $4.7\text{M}(4 \text{ issues})(\$5) = \$94\text{M}$

Total market size = $\$169.2\text{M} + \$94\text{M} = \$263.2\text{M}$

Case 4: Major Magazine Publisher

Recommendation

66

Potential approach to solving the case

Q1. Market Size

Q2. Profitability

Q3. Recommendation (Risks and Other Considerations)

Q3: Should they do it?

Information to be given if asked:

Market is not growing

Competition is made up of:

GQ: 60% of the market

Other magazines/fragmented: 40%

Survey data shows that we can capture 5% of the market

Calculations:

Potential revenue for client = $5\%(\$262.2M) = \$13.16M$

Case 4: Major Magazine Publisher

Recommendation

67

Recommendation

The client should move forward with the launch of the new magazine. We expect to get \$13.6M in revenue per year, which is higher than the stated goal of \$10M per year.

Risks

Costs need to be less than \$3.6M. Costs can include fixed cost for a new manufacturing plant, R&D for new topic, etc..

Need to consider cannibalization of Finance magazine revenues - may be targeting the same audience/have content overlap.

Cost synergies for client may be able to be achieved by adding another magazine to the portfolio. Synergies may include manufacturing, marketing and distribution.

Case 5: Tulsa Hotel - OK or not OK?

Introduction

68

Problem Statement Narrative

Our client a major hotel chain. They are considering acquiring an existing hotel in Tulsa, OK for \$20M and expect an ROI of 20% over three years. Should they make the investment?

Overview for interviewer

This is a profitability case. Discussion should quickly turn to $P=R-C$ and the various drivers of costs and revenues.

On the revenue side, price and volume (hotel occupancy) should be considered, with some discussion about different price and occupancy scenarios – is this a business hotel or a vacation location? Do occupancy rates/prices vary throughout the week? Seasonally? The interviewee should also include other sources of revenue, such as a restaurant in the hotel, events, etc.

On the cost side, fixed and variable costs should be discussed, such as hotel upkeep, utilities, labor, insurance, booking system etc.

Additional factors:

Changes in the economy and hotel industry that might affect number of guests or guest WTP

Competitor response and potential for new entrants into the market

Specifics about our client such as synergies with other hotels in the chain, name recognition, hotel management expertise

Risks such as lower than expected demand, entry of new competitors, etc..

Information to be given with

Once the interviewee has explained their framework, give them the following page. Also tell them the following:

Assume single occupancy (only one guest per room).

If several rooms are reserved at once (for a group traveling together) a discounted group rate is given to each group member.

Assume 50 weeks/year or 350 days/year in your calculations. Round yearly profits to the nearest million.

Assume no seasonality in demand. Assume no growth. Ignore time value of money.

Case 5: Tulsa Hotel - OK or not OK?

Information sheet

69

- On weekends Tulsa has 600 visitors/day and 50% stay in our hotel
 - (The rest stay with friends/family, or at small bed and breakfasts)
- Group room rate is \$120/night
- Individual room rate is \$150/night
- On weekends 75% of guests are individuals (i.e. not groups)
- On weekdays 40% of guests are individuals
- Weekend hotel occupancy rate is 60%
- Weekday hotel occupancy rate is 75%
- It costs the hotel \$30/room/night for each occupied room
- Fixed costs for the hotel are \$5750/night
- Assume no growth, ignore time value of money

Case 5: Tulsa Hotel - OK or not OK?

Question 1

70

Profitability Question

Should our client make the investment? (Do not remind interviewee that the client plans to invest \$20M, or that they expect an ROI of 20% over three years, this information was given up front and should be remembered)

Solution Method 1

Weekend days:

600 town visitors * 50% stay at our hotel = 300 weekend guests
Average weekend rate = $0.75 * \$150 + 0.25 * \$120 = \$112.5 + \$30 = \$142.5$

Average weekend day profit / guest = $\$142.5 - \$30 = \$112.50$

Weekdays:

Hotel is 60% occupied on weekends with 300 guests = 500 rooms in hotel

On weekdays, hotel is 75% occupied = $500 * 75\% = 375$ guests
Average weekday rate = $0.4 * \$150 + 0.6 * \$120 = \$60 + \$72 = \$132$

Average weekday profit / guest = $\$132 - \$30 = \$102$

Total profits:

$\pi/\text{week} = (300 * \$112.5 * 2) + (375 * \$102 * 5) - (5750 * 7) = \$218,500$

$\pi/\text{year} = 50 \text{ weeks} * \$218,500 = \$10,925,000$, round to \$11M

π over 3 years (assuming no growth/TVM) = \$33M

20% ROI on 20M is 4M, so require \$12M π over 3 years to meet goal.

\$33M > \$12M, so invest!

Solution Method 2

Weekend days:

600 town visitors * 50% stay at our hotel = 300 weekend guests

Revenues from individuals: $300 \text{ guests} * 75\% * \$150/\text{room} = \$33,750$

Revenues from groups: $300 \text{ guests} * 25\% * \$120/\text{room} = \$9,000$

Variable costs: $300 \text{ guests} * \$30/\text{occupied room}/\text{day} = \$9,000$

Fixed costs = \$5750/day

Profit/weekend day = $(\$33,750 + \$9,000) - \$9,000 - \$5,750 = \$28,000$

Weekdays:

Hotel is 60% occupied on weekends with 300 guests = 500 rooms in hotel

On weekdays, hotel is 75% occupied = $500 * 75\% = 375$ guests

Revenues from individuals: $375 \text{ guests} * 40\% * \$150/\text{room} = \$22,500$

Revenues from groups: $375 \text{ guests} * 60\% * \$120/\text{room} = \$27,000$

Variable costs: $375 \text{ guests} * \$30/\text{occupied room}/\text{day} = \$11,250$

Fixed costs = \$5750/day

Profit/weekday = $(\$22,500 + \$27,000) - \$11,250 - \$5,750 = \$32,500$

Total profits:

$\pi/\text{week} = 2(\$28,000) + 5(\$32,500) = \$218,500$

$\pi/\text{year} = 50 \text{ weeks} * \$218,500 = \$10,925,000$, round to \$11M

π over 3 years (assuming no growth/TVM) = \$33M

20% ROI on 20M is 4M, so require \$12M π over 3 years to meet goal.

\$33M > \$12M, so invest!

Case 5: Tulsa Hotel - OK or not OK?

Question 2

71

Average Rate Question

Now instruct the interviewee to disregard the numbers given in question 1 and use only the information given in the following question: Suppose that on each weekend day, 100 rooms are occupied at a group rate of \$100, and 300 individual rooms are occupied at a rate of \$150. On each weekday, 200 rooms are occupied at the group rate, and 200 at the individual rate. There are 500 rooms in the hotel. It costs the hotel \$30/room/night for each occupied room.

What is the average revenue per customer per day for any day of the week? Round your answer to the nearest 10 dollars (e.g., if the room rate is \$147, round your answer to \$150)

Suggested Solution

Average weekend day: $(100 * \$100 + 300 * \$150) / (100 + 300) = (\$10,000 + \$45,000) / 400 = \$55,000 / 400 = \137.50

Average weekday: $(200 * \$100) + (200 * \$150) / (200 + 200) = (\$20,000 + \$30,000) / 400 = \$50,000 / 400 = \125.00

Overall average rate: $(2 * \$137.5 + 5 * \$125) / 7 = (\$275 + \$625) / 7 = \$900 / 7 = \$128.57 = \$130 \text{ revenue/room/night}$

Case 5: Tulsa Hotel - OK or not OK?

Question 3

72

Strategy Question

Now suppose that our client would like to increase revenues at the hotel. What would be some ways that they could accomplish this? Assume that costs are held constant.

Suggested responses

The goal is to brainstorm ideas to increase revenues. Push interviewee to provide as many ideas as possible.

Answers might include:

Increasing room price, perhaps positioning hotel as a luxury destination

Partnering with a local convention center to attract large groups of guests, or building their own conference center

Accommodating wedding receptions or other large social gatherings

Conducting an advertising campaign- with a travel agency, online, on TV, etc.

Expanding the hotel to accommodate more guests

Opening a restaurant in the hotel, or adding additional dining options if interviewee assumed there was already a restaurant

Breakeven Question

In order to increase profits, your client is considering launching a three year advertising campaign. The campaign will cost \$1.5M. Use information from question 2 in your calculations. Do not use any information from question 1. Ignore fixed costs.

How many additional guests will need to stay at the hotel for our client to break even?

Should they launch the campaign?

Breakeven Question

$\$1.5\text{M over 3 years} = \$500,000 \text{ per year spent on the campaign}$

From question 2a, the average revenue/room/night = \$130.

Variable cost/room/night = \$30

Profit/room/night = \$100

$\$500,000 / \$100 = 5,000 \text{ additional guests/year}$

$5,000 / 350 = \text{about } 15 \text{ additional guests per night}$

Since the hotel occupancy is 400 on both weekends and weekdays, and the hotel has 500 rooms, this increase seems reasonable

Case 5: Tulsa Hotel - OK or not OK?

Recommendation

73

Recommendation

Our client should acquire the hotel because its projected profits exceed the expected ROI by \$21M.

However, if the \$20M investment could be used for another project with an even higher ROI, the other project should be prioritized ahead of this one. (Bonus answer!)

Our client should also launch the advertising campaign because the required additional 15 guests per night to breakeven seems reasonable. Some other options to increase revenues might include partnering with a conference center or contracting with a travel agent to attract additional guests.

Risks

Some potential risks include:

National or global economic downturn could reduce business travel and tourism in general

A new unfavorable local economic environment in Tulsa could lead to businesses leaving the area and reducing business/visitor traffic (e.g. higher local taxes on businesses)

A competitor could build a large hotel in Tulsa

Government could impose new taxes on hotel profits, reducing projected ROI

Case 6: The Coffee Grind

Introduction

74

Problem statement narrative

The CEO of a major client has requested a short-term study examining a small part of the client's product portfolio. The company has a small division that manufactures automatic drip coffeemakers for the US and Canadian market. The division has been steadily producing coffeemakers for 20 years, and has made few changes to the business over its history. The client has always enjoyed healthy margins for the coffeemaker division, and annual volumes have been steady. Recently, however, the coffeemaker division's profits have been declining. The CEO wants to understand what is going on. What **broader insights** would you want to explore first to answer the CEO's question?

Overview for the interviewer

Although this looks and feels like a profitability case (which it ultimately is), the point here is to push the interviewee to develop a framework beyond the standard profitability setup. Additionally, the case is meant to train the interviewee to listen to the question being posed: the interviewer is asking for “**broader**” insights, not basic profitability analysis.

If the interviewee tries to go down the typical profit = price x volume – fixed + variable costs, push him or her a little harder to think bigger picture. This case was done at the partner level, and thus involves a little more ambiguity.

Information to be provided (if asked)

Regarding changes in fixed or variable costs: the production lines and facilities are mature, the business has been steady, overall production is rather efficient given the advantages of a long-term steady state. No major changes to fixed or variable cost inputs have occurred recently.

Production: All production occurs at a facility in Michigan. The plant is operating at about 90-95% capacity.

Volume: Relatively constant.

Product Mix: The division produces 4-cup, 10-cup, and 12-cup coffeemakers. The overall mix between these categories has been fairly consistent.

Case 6: The Coffee Grind

Potential Frameworks

75

Candidate may propose action in:

Market

How are competitors performing?
Have new competitors entered?
Have new substitutes emerged?
Are we missing new technological developments?
Where are our prices relative to our competitors?

Customer

Are customer preferences changing?
Has product mix changed?
Are customers more or less price sensitive than before?
Have customers become more concentrated?
Are customers shopping in new channels?

Channel

How do we reach our customers?
Has distribution changed?
Are retail outlets changing?
How are sales prices established?
Are channels consolidating?

Market

There have been some new entrants, primarily for very low priced coffeemakers. The client's coffeemakers are mid-price range and there are several other competitors at this price point. New technology and substitutes are minimal. Try to not let the candidate go too far down this area, the real issues are in distribution.

Customer

Volumes by coffeemaker size have been relatively steady, indicating that customer preferences have not undergone dramatic changes. Again, try not to let the candidate go too far down this path.

Channel

Channel is the real issue. When the candidate reaches this area, present them with exhibit 1.

Case 6: The Coffee Grind

Exhibit 1

76

Number of coffeemakers Sold (in thousands of units) by Retailer Category

	2010				2009				2008				2007	2006	2005	2004	2003
	4-cup	10-cup	12-cup	Total	4-cup	10-cup	12-cup	Total	4-cup	10-cup	12-cup	Total	Total	Total	Total	Total	Total
National Chains																	
Best Buy	10	12	12	34	9	12	12	33	9	12	12	33	33	32	32	31	30
Target	29	38	17	85	28	38	17	83	28	38	17	84	84	82	80	78	79
Walgreens	1	1	1	4	1	2	2	4	1	2	2	5	5	5	5	5	5
Sears	1	6	7	14	1	6	7	14	1	6	7	14	15	15	16	18	36
Office Max	-	6	10	15	-	6	10	16	-	6	10	16	17	17	18	19	20
Kohl's	1	3	2	6	1	3	2	6	1	3	2	7	7	7	7	7	8
Bed, Bath, & Beyond	8	8	7	24	9	9	8	25	10	9	8	27	29	30	32	33	34
Costco	15	16	19	50	17	16	19	52	17	17	21	56	59	62	67	69	25
BJ's	12	14	47	73	11	13	42	66	10	12	38	60	57	52	48	44	20
Walmart	41	76	71	188	34	65	68	167	28	54	60	142	125	110	93	83	99
Total National	119	179	194	492	111	168	187	466	107	158	178	443	429	414	398	388	357
Memo: Percent of Sales	15%	23%	25%	63%	15%	22%	25%	61%	14%	20%	23%	57%	52%	52%	50%	46%	46%
Non-National Retailers																	
Grocery	19	25	36	80	23	30	37	90	26	32	39	97	116	109	110	120	104
Medium Retailers	36	24	25	85	45	25	20	90	45	31	33	108	101	109	120	114	102
Smaller Retailers	38	21	15	74	10	24	19	53	16	25	20	61	100	91	95	112	106
Other	10	20	21	51	12	24	25	61	12	29	29	70	76	70	75	104	101
Total Other	103	90	97	290	89	103	101	293	99	117	120	336	393	379	400	450	413
Memo: Percent of Sales	13%	12%	12%	37%	12%	14%	13%	39%	13%	15%	15%	43%	48%	48%	50%	54%	54%
Total Sales	222	269	291	782	200	272	288	760	206	275	298	779	822	793	798	838	770
Memo: Percent of Sales	28%	34%	37%	100%	26%	36%	38%	100%	26%	35%	38%	100%	100%	100%	100%	100%	100%

Case 6: The Coffee Grind

Questions for Exhibit 1

77

Questions for Exhibit 1

Opening: We were able to get some quick shelf data on coffeemaker sales by channel.

Question 1: What conclusions can you make from this data?

- The candidate should identify that National chains increasingly make up a greater share of the client's sales
- Bonus points if they note that one retailer, Wal-Mart, buys 25% of their coffeemakers

Question 2: What are implications for this shift towards National retailers?

- Larger chains have more bargaining power, and are putting more pressure on the division to provide discounts on its products based on volume, which is squeezing the company's margins.

Math Test

What percent of the market do you think the client has?

- The candidate needs to start by estimating the number of coffeemakers sold in the US and Canada annually:
 - Any logical approach is acceptable. A recommended approach is to start with the population of households in the US and Canada (there are approximately 100k households in the US, 10k in Canada), estimate the percent that have electric coffeemakers (it's about 65%), and that coffeemakers are replaced about every 5-10 years (can use 7 as an average). Give bonus points if candidate considers other places with coffeemakers (offices, hotels, etc..).
 - In the end, the candidate should have an estimate in the range of 10 – 15 million coffeemakers sold annually in the US and Canada.
- Therefore, the client has about a 5-8% market share, and is a relatively small player, so the company has little bargaining leverage with retailers.

Case 6: The Coffee Grind

Follow-up Questions

78

Follow-up Questions

Question: During a brief meeting with the CEO, you share your early insight that national retailers are squeezing the company's margins. He states that the dishwashers and cooking appliances division recently launched a website to sell its products. He wants to know if a website would also work for coffeemakers. Do you think it will work?

Answer: Any answer here is acceptable if the candidate can create a logically structured argument to support his or her answer, although the candidate should at a minimum identify a couple of risks. Additionally, the candidate should want to know more about the possible profitability of a website.

Possible reasons for a website (sample):

Profitability: allows client to capture the margin that presently goes to the retailer

Channel: reduces client's dependency on national retailers, could add additional volume

Company: the company already has an existing website for dishwashers and cooking appliances, so capabilities may exist

Possible reasons against a website (sample):

Profitability: need to understand economics (how expensive are the fixed costs?)

Customer: coffeemakers are more of an immediate purchase decision than dishwashers or ovens, customers may not want to wait for shipping times for online purchases

Competition: may face increased competition online from websites such as Amazon.com

Channel: customers may already be purchasing our coffeemakers from our retailers on their websites, risk of retailers retaliating by pulling our products from their shelves

Company: the coffeemaker division may not have the expertise or skills needed for online marketing, sales, shipping, etc..

Case 6: The Coffee Grind

Math Question #2

79

Math Question #2

Question: Given the following information we've collected, what percent of the company's sales would the client need to achieve for the website to break-even?

The interviewer should tell the candidate the following:

- Annual website costs: \$500k
- Additional marketing costs: \$300k
- Average retail price of coffee maker: \$60
- An additional \$4 per coffee maker will be required for handling sales through the website
- The customer pays for the cost of the shipping

The interviewer should only provide the following when asked:

- The margin on the coffee makers is 40%

Answer

With a margin of 40%, the cost of producing the coffee maker is \$36 ($40\% = (\$60 - \text{COGS})/\60)

Therefore the profit per coffee maker is \$24 before the \$4 extra handling cost, and \$20 after the extra cost is included.

The total cost of the website is \$800k

Break-even volume = $\$800,000 / \$20 = 40,000$ coffee makers

The client sells approximately 800k coffee makers annually, so about 5% of the clients volume

Case 6: The Coffee Grind

Conclusion and Wrap-up

80

Conclusion

Question: The CEO really appreciates all the work you've done so far on identifying the issue with national retailers squeezing margins and the breakeven analysis on the website. He would also like your insight on other possible ideas. What other solutions might you suggest?

Answer:

Anything here is acceptable as long as its reasonable; the idea is to push the candidate's creativity. After the candidate has provided a few options, continue to ask "what else" until the candidate cannot produce any more ideas (McKinsey often uses this type of questioning during its first and second round interviews).

Sample answers:

- Investigate selling the division to another coffeemaker
- Move production overseas to increase margins
- Investigate purchasing other coffeemaker manufacturers to gain leverage with retailers
- Consider exclusive retailing rights to one distributor
- Increase marketing efforts to create a pull-strategy from customers to increase leverage with suppliers
- Seek other channels (Starbucks, hotel chains, etc..)
- Consider international expansion
- Increase focus and attention on small to medium retailers
- Consider raising prices to offset margin loss (but with a further investigation of customer price sensitivity)

Final question: Ask the candidate to wrap up the case.

Recommendation: The candidate should either recommend the website or another solution identified above.

Risks: In his or her conclusion, the candidate should mention risks such as competition from other websites, retaliation by retailers, risk of moving production overseas, etc..

Case 7: FoodCo

Introduction

81

Problem statement narrative

Our client is a private equity firm which has invested in FoodCo, a family-owned \$19M branded frozen ethnic foods manufacturer operating out of the Northeast. They would like our help to determine how FoodCo can triple their profitability over the next 2 years.

Overview for interviewer

The interviewee may ask some clarifying upfront questions related to the goal of tripling profitability, and then they should develop a framework of potential areas to explore. This will likely be divided into areas such as the external Market, Revenues, and Costs.

Additional information related to the client's goal

This information may be provided upon request:

- The \$19M figure is revenues
- Profit is currently \$3M (so the target is $\$3M * 3 = \$9M$)

Case 7: FoodCo

Profitability enhancement

82

Brainstorming ideas for increasing Profitability

The candidate should present a framework to tackle the problem.

Market: Assume that there are no major changes.

Revenues

- Price: we don't have any flexibility; benchmarking has determined that the ideal price is being charged to customers.
- Revenue Streams: For the purposes of this case assume that we produce ethnic food sold in "cups" e.g. a cup of noodles. This is the sole revenue generating stream.
- Quantity
 - Increasing this and expanding is an option, but what are the implications?
 - We can't build more operations centers. "We know that there is a lot of unmet demand but we are extremely capital constrained and can't look to increase production by opening a new plant."
- Other ideas
 - Expanding nationally through retail and food service channels
 - Expanding into new products, customers, and channels – organically or through acquisitions

Point the interviewee towards efficiency gains through cutting costs

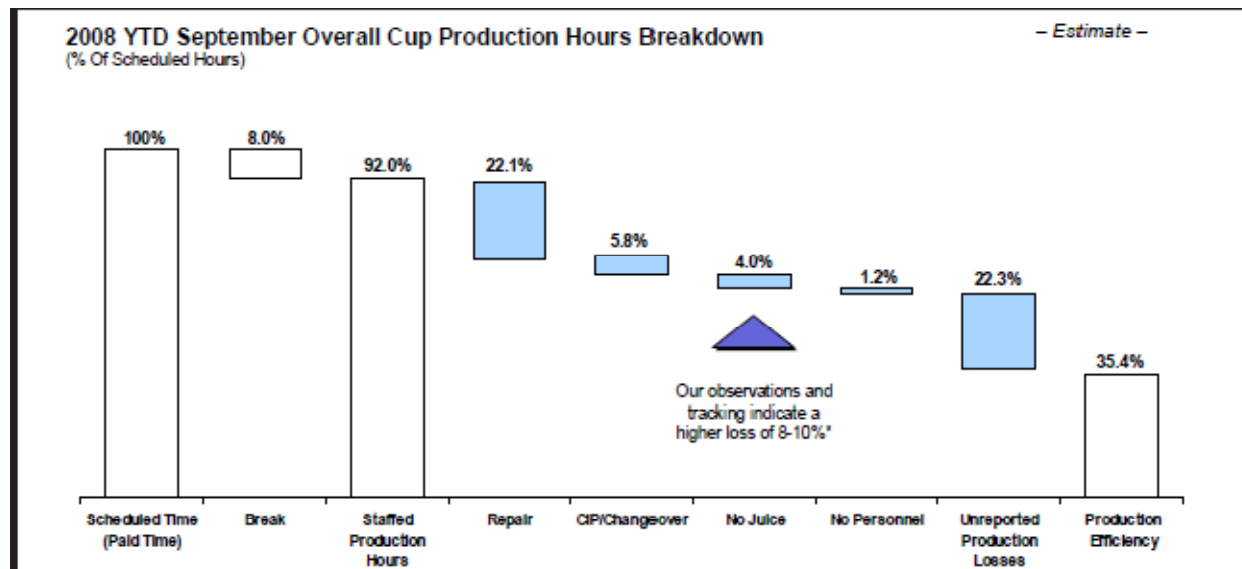
Costs

- Have the interviewee brainstorm a list. These could include food materials, storage (including refrigeration), logistics, labor, and packing materials
- Once the candidate comes up with a preliminary list of costs, say that our team found that a majority of costs could be categorized into four areas: Labor (50%), Equipment (25%), Administrative (20%) and Other (5%)
 - Ask them which area they would target to find savings. This should point to labor as is this more controllable and an unusually large cost driver for this type of business. Show the following chart.

Case 7: FoodCo

Profitability enhancement

83



Prompt: What are some ideas to improve efficiency?

The key should be to reduce repair time, which is controllable. Ask for further ideas of how to do this. Indicate that through training and reconfiguration of equipment we can reduce repair time to 5% if we invest \$500,000. Should we do this?

Answer:

Labor Cost Base is $\$19 - \$3 = \$16$. $\$16 * 50\% = \$8M$

Savings from reduction = $22\% - 5\% = 17\%$. $17\% * \$8M = \$1.36M$

So yes, we should invest.

Case 7: FoodCo

Follow up question

84

Bonus

You may want to push the candidate here if they don't realize this -- efficiency savings translate into higher production volumes. Ask them to calculate what this increase would be and how it translates to revenues. For simplicity assume that all savings (in percentage terms) translate directly to the same % increase in volume (e.g. 17%).

Revenue Growth = $\$19M \times 1.17 = \$22.23M$

Wrap-up

Ask for the overall recommendation. Sample:

By reducing repair time through training and equipment reconfiguration, we can both reduce costs and grow revenues by 17%. After the \$500K investment, this means a total of roughly \$7M profitability. This is not enough to reach the two year target, so we would have to look at other sources/options for growth and expansion.

Case 8: Candy Manufacturing

Introduction

85

Problem Statement Narrative

Your client is a candy manufacturing company that has been facing declining profit margins. The CEO has reached out to us to figure out why and what they should do about it.

Overview for interviewer

This is a relatively straight-forward case, which includes the following: discussing profitability drivers, calculating profitability of the client versus competitors, discussing opportunities to increase revenues and decrease costs, and a conclusion. If they ask as a follow-up to the question to the problem statement whether declining profitability is an industry specific issue or a company-specific issue, highlight that the company has been facing issues.

Case 8: Candy Manufacturing

Potential Issue Tree and Approach to Solving the Case

86

Solution

- Industry drivers of profitability:
 - Market size and growth,
 - Customer trends
 - Competitors
- Profitability of the company:
 - Revenues (price and volume),
 - Costs (fixed and variable),
 - *Think of revenue and cost by customer segment or product type*
- Profitability of competitors:
 - Revenues (price and volume)
 - Costs (fixed and variable)
 - *Think of revenue and cost by customer segment or product type*

Case 8: Candy Manufacturing

Follow-up and Guidance to the Interviewer

87

Industry drivers of profitability

Q: What do you think are the general trends in the industry?

Answer guidelines:

- General brainstorming to test business intuition of the interviewer, i.e., candy manufacturer probably steadily growing at inflation, if anything probably declining due to more health conscious players;
- There are a lot of big players like Hershey in this space so it is likely a highly competitive market
- At the end of the discussion (if they haven't asked already), clarify that the industry itself has sustained higher profit margins than our client.

Profitability of the company

Q: What do you think are the main drivers of revenues in this industry?

Answer guidelines: Again test for general brainstorming skills and business intuition

- Provide details about our clients' revenues:
 - Pricing has been relatively steady and so has been sales
 - Our client plays in a more niche part of the candy segment that they have not been impacted by the rise in the more health-conscious consumer as it is particularly liked by children
 - Our client actually commands a price premium, most of our competitors have prices that our 10% lower than our client.

Q: (When the interviewee moves onto the cost side, ask:) What do you think are the main drivers of cost?

Answer guidelines: Again test for general brainstorming skills and business intuition. Keep in mind amount of time left and transition to next question appropriately.

Profitability of competitors

Q: We will look into costs in a moment. However, we have an interim meeting with the client and he has asked us a very specific question. Our client's profit margins are 10%. He believes the competitors' profit margins are higher and wants us to calculate the difference in profit margins. How would you go about doing that? (Transition to the competitor profitability section)

Answer guidelines:

- On the revenues side you have already mentioned that our client commands a price premium, as competitors' prices are 10% lower. If the interviewee asks again, give it to them.
- Costs side: Competitors' costs are 20% lower
- Calculate the profit margins of competitors relative to our client

Case 8: Candy Manufacturing

Basic calculation

88

Overall approach, good shortcuts & solution

Question 1: Compare profit margins of client versus competition

Profitability of our client:

- Assume our client's price is \$1.00.
- Hence, our client's profitability is: $\$1.00 \times 0.10$ (10%) = \$0.10.
- This means that our client's cost is: \$0.90

Profitability of our competitor:

- Competitor's price is 10% lower than our client: $\$1.00 \times 0.90 = \0.90 .
- Competitor's cost is 20% lower than our client: $\$0.90 \times 0.80 = \0.72
- Competitor's profit is: $\$0.90 - \$0.72 = \$0.18$
- Competitor's profit margin: $\$0.18 / \$0.90 = 20\%$

Instructions for interviewer:

If your interviewee is struggling, propose the trick to assume the price is \$1.00. This will make the math simpler.
The answer should be: the competitor's profit margin is 20%, 2X higher than our client

Case 8: Candy Manufacturing

Identifying issue

89

Overall approach, good shortcuts & solution

Question 2: What do you think the main reason is that competitors are more profitable?

It is a difference in costs as their revenues are lower.

Follow up question: interviewer should move towards understanding the major cost drivers that could be driving the difference.

Instructions for interviewer:

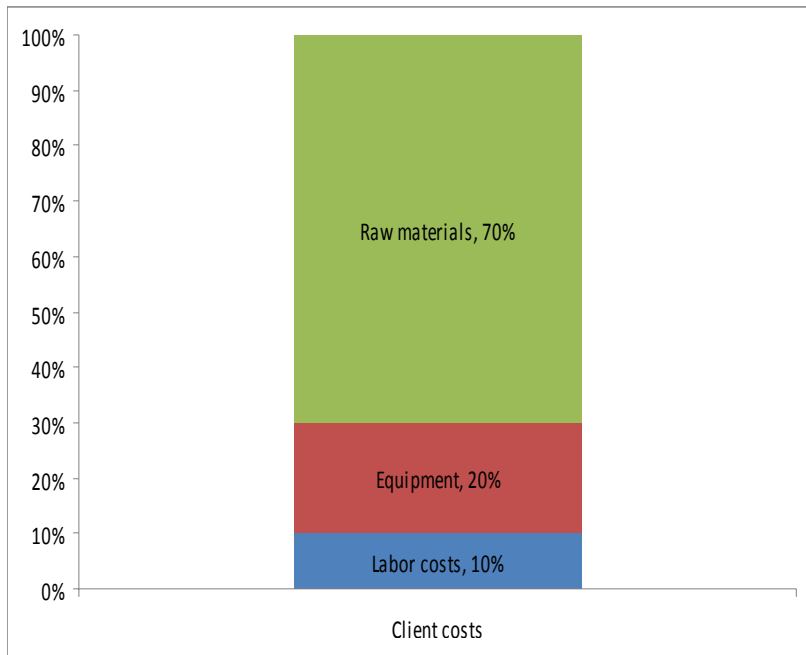
- First ask the interviewee, what they think the main reason is?
 - It is a difference in costs as their revenues are lower.
 - However, guide them to this if they do not initially say this.
- Follow-up question to interviewee: What would you want to know to understand the difference between competition and our client's costs?
 - Guide the conversation to say they would want to understand the major cost drivers that could be driving the difference.
 - Once the conversation comes to the point show them the Exhibit on the next page and ask them: What do you see based on this graph:

Case 8: Candy Manufacturing

Exhibit

90

Breakdown of costs for the client:



Instructions for interviewer:

Key things the interviewer should notice from the graph:

- Raw materials are the highest percent of costs; this could be primarily what is driving the difference between the client and its competitors; also, this would be where there is most leverage for our client to reduce costs.
- Equipment is the next highest; unless there are significant differences between the client and its competitors' equipment this won't drive down our client's costs.
- Labor costs are the smallest part of our client's cost; even if the client could reduce it impact would be limited
- Hence, raw materials would be where the client has the biggest opportunity to reduce costs and increase profit margins vis-à-vis competition (Make sure the interview reaches to this point either by themselves or by guiding them)

Case 8: Candy Manufacturing

Analyzing cause

91

Overall approach, good shortcuts & solution

Question: What could be the reasons why raw material costs could be higher for our client than its competition?

Instructions for interviewer:

Pose this as a general brainstorming question. Continue the discussion until these key points are addressed:

- Supplier bargaining power: Function of supplier concentration relevant to number of customers
- Volume purchased per given supplier: Function of total costs and the number of aggregate suppliers client uses for a particular product

Interviewee should dive further into these points to extract the information on the right hand side. Interviewer ask for interviewee's perspective based on the additional information

Provide information if asked

- Competitors are slightly larger than our client
- There are a lot of supplier options for a given raw material
- Given our client is the result of a lot of mergers, they have a lot of local suppliers for the same raw materials

Case 8: Candy Manufacturing

Bonus question: Financial analysis

92

Overall approach, good shortcuts & solution

Question: By approximately what percentage would raw materials cost have to be decreased to match our clients' competitors' profit margins?

Our competitors' profit margins are 20%. For our clients' sales price of \$1.00, that means that the new profits needs to be \$0.20 and hence, costs \$0.80. Current costs are \$0.90. So we need to reduce costs by \$0.10.

Raw materials cost is 70% of total current costs. $\$0.90 * 0.70 = \0.63 . So, we need to reduce this by \$0.10 so that would be a $\$0.10 / 0.63 = \sim 16\%$ decrease.

A stand-out candidate should say: They would need to reduce raw materials costs by 16%, which seems a reasonable target.

Case 9: Chickflix.com

Introduction

93

Problem Statement narrative

The last period financial figures just came out, and Chickflix.com's gross profit margin has decreased for two years in a row. The CEO has hired you to recommend a solution.

Overview for interviewer

The unique feature about Chickflix is that its variable cost are not a function of sales volume, but of other drivers (such as average number of movies returned per month)

Interviewee should show understanding of the revenue and cost structure, identify the increase in cost and recommend a course of action

Case type: profitability

Information to be provided upon request

Chickflix.com is a online website similar to Netflix. What's unique about Chickflix is that it targets only women and carries a majority of titles that could be described as 'chick flicks'

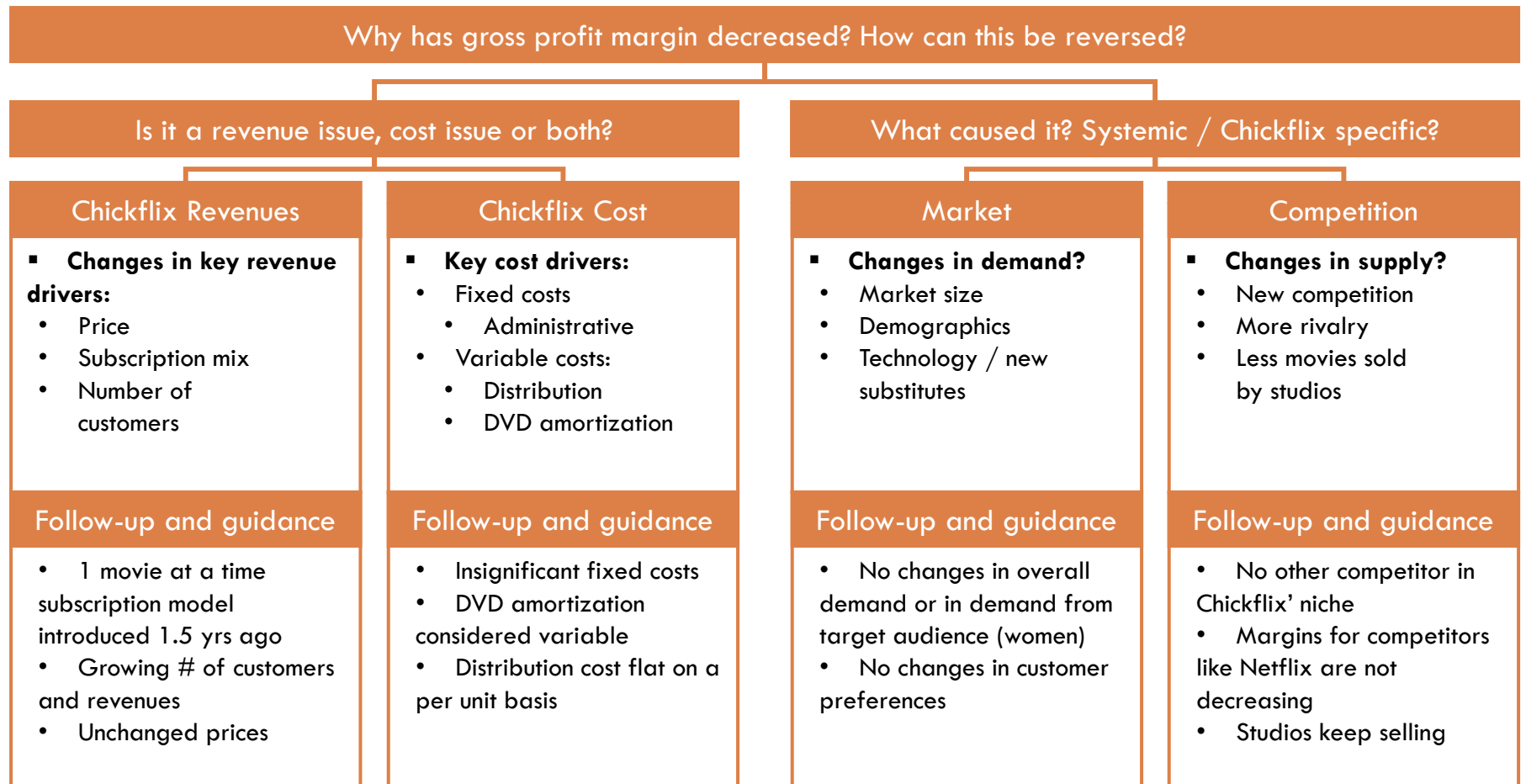
Clients sign up online, order online, receive the movie and mail it back

More specifically, Chickflix.com offers 3 subscription models (1, 2 or 3 movies at a time)

Case 9: Chickflix.com

Potential Issue Tree & Approach

94

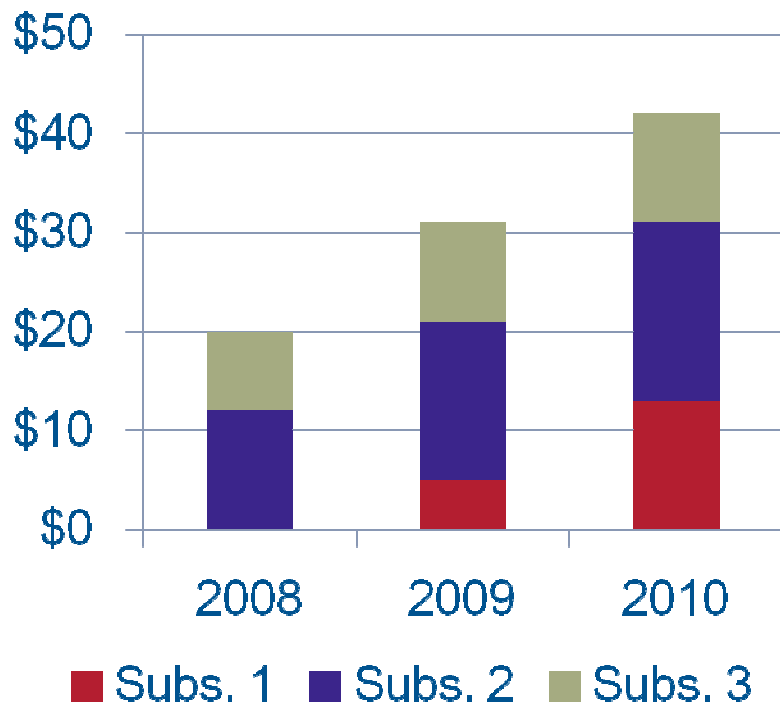


Case 9: Chickflix.com

Exhibit A – Revenue growth and mix

95

Revenues (M\$)



Subscription models

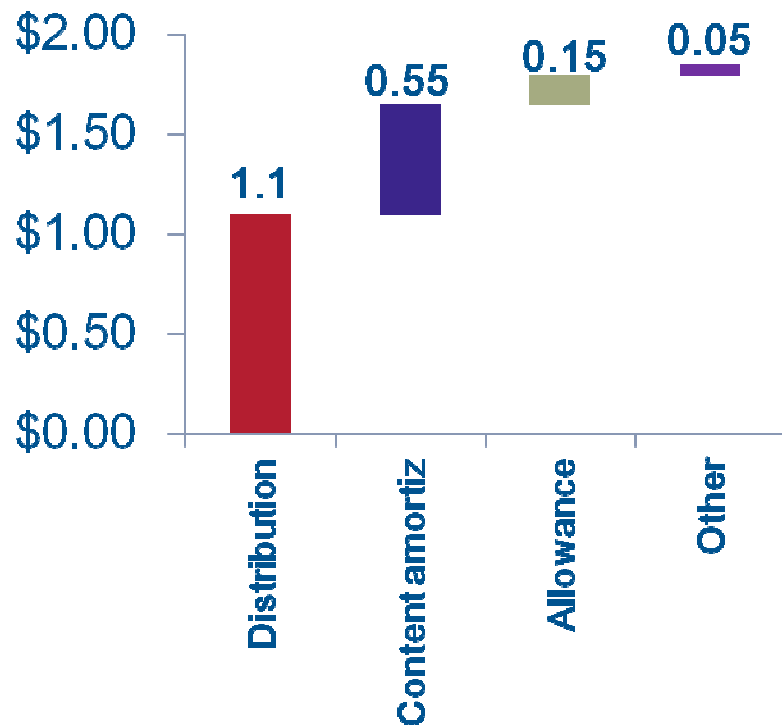
- Subscription 1:
 - 1 movie at a time
 - \$9.99 / month
- Subscription 2:
 - 2 movies at a time
 - \$14.99 / month
- Subscription 3:
 - 3 movies at a time
 - \$19.99 / month

Case 9: Chickflix.com

Exhibit B – Variable cost per unit

96

Variable cost per unit (\$)



Components of variable cost

- Distribution:
 - Primarily Mailing cost
- Content amortization
 - Straight line amortization of movies (30 rentals = useful life)
 - Considered variable because DVD library is a function of rental volume
- Allowances
 - Allowance for movies lost in mail
- Other
 - DVD cases repair, etc..

Case 9: Chickflix.com

Interviewer guide

97

Interviewee should identify takeaways from Exhibits A & B

- Revenues are growing for all subscriptions
- Variable costs are not a function of subscription volume, but of number of movies returned per month
- Therefore, the 2 key gross profit drivers are:
 - Subscription mix
 - Average rentals per month

Interviewer should then request analysis

- Evaluate gross profit margin for each Subscription type
- Calculate price required for subscription 1 and 2 to provide a gross profit margin equal to Subscription 3's
- Data for interviewee:
 - Provide Exhibit C

Case 9: Chickflix.com

Exhibit C – Revenue and rentals data

98

Revenues

	S1	S2	S3	Total
2008	-	\$12M	\$8M	\$20M
2009	\$5M	\$16M	\$10M	\$31M
2010	\$13M	\$18M	\$11M	\$42M

Customers

	S1	S2	S3	Total
2008	-	67K	33K	100K
2009	42K	89K	42K	172K
2010	108K	100K	46K	254K

Average rentals per customer per month

	S1	S2	S3
2008	-	7.5	8.2
2009	5.6	7.3	8.1
2010	6.0	7.5	8.0

Case 9: Chickflix.com

Interviewer guide - Calculating price

99

Q2: Calculate gross profit margin for Subscription 3 (using 2010)

- Revenue per month per customer
= \$20
- Average rentals per month
= 8 movies
- Revenue per rental
= $\$20/8 = \2.5
- Cost per rental
= \$1.85
- Gross Profit margin
= $(\$2.5 - \$1.85) / \$2.5 = 30\%$

Q3: Calculate required profit margin for S1 & S2 / Identify S1 is at a loss

- Subscription 1:
 - Average rentals per month
= 6 movies
 - Required subscription price:
 $(P - 1.85 \times 6) / P = 30\% \rightarrow P = \15
or: $P = \$2.5 \times 6 = \15
- Subscription 2:
 - Required subscription price:
 $P = \$2.5 \times 7.5 = \18.75
- Bonus: identify that Chickflix is selling S1 at a loss:
 - Gross profit margin:
= $(\$10 - \$1.85 \times 6) / \$10 = -5\%$

Case 9: Chickflix.com

Interviewer guide

100

Interviewee should identify takeaways from price calculation

- Subscription 3 is more profitable than the other models
- Subscription 2 is still profitable, but Subscription 1 is not
- But, increasing prices may lead to a drop in customers

Interviewer should then request analysis

- Challenge interviewee to critically evaluate the client's financial performance
 - Revenues have grown but:
 - Subscription 2 is less profitable than 3, and
 - Subscription 1 is selling at a loss
- Chickflix is subsidizing its own growth (selling at a loss)
- What recommendation would you give the client to improve?

Case 9: Chickflix.com

Brainstorming solutions

101

Healthy Revenue Growth

- Re-evaluate the subscription models
 - add maximum monthly returns
 - Restructure S1 into a profitable model
- Test customers price elasticity between S1, S2 and S3. Use findings to price each subscription correctly
- Targeted advertising to increase customer base
- Expand into other niches: men & children movies

Cost Rationalization

- Negotiate volume discounts to decrease distribution cost
- Encourage S2 & S3 customers to mail more than one movie together
- Promote rentals of older movies (with a lower content amortization cost)
- Negotiate with movie studios to reduce DVD cost

Case 9: Chickflix.com

Final recommendation

102

Recommendation

- Chickflix has grown revenues by adding customers in S1 & S2. It has subsidized S1 with proceeds from S2 & S3 as S1 earning negative margins.
- Chickflix needs to restructure S1 to return it to profitability.
- Adjusting price is an alternative. Chickflix should also rationalize cost and start by focusing on the 2 main cost components: distribution cost and content amortization.
- Moving forward, Chickflix should evaluate entering other market niches.

Risks

- Adjusting prices could lead to cannibalization with customers from S3 switching to S2 and those from S2 to the newly restructured S1.
- Chickflix needs to identify the premium offering that S2 and S3 have.
- Chickflix should be cautious when restructuring S1, so that customers are not lost

Next Steps

- Analyze customers' price elasticity for different subscription types
- Renegotiate contracts with distributors and movie studios

Case 10: Skedasky Farms

Introduction

103

Problem Statement Narrative

Skedasky Farms is involved in the process of making, selling, and distributing white wines. As of late, industry growth has stagnated. The CEO wants to increase revenue, and has enlisted you to help. To start off, come up with ideas to help the CEO with his goal.

Overview for interviewer

This case is fairly open-ended, and will involve a lot of brainstorming on the part of the interviewee.

Keep the interviewer focused on ways to increase revenue. Costs are irrelevant for now (although good to keep in mind). Additionally, don't let the interviewer get hung up on one idea. For example, if they suggest expanding to include red wines, that's good, and they may mention a concern or two, but then have them move on to other ideas for increasing revenue.

Eventually, push them towards the next part of the case.

Information to be provided upon request

The interviewer can choose to provide some of this information upfront, or can wait for the interviewee to ask. This information is not crucial to brainstorming, but could be useful in coming up with creative recommendations.

- Skedasky grows all of their raw inputs (grapes)
- Their farms are in California, with some processing facilities on-site, and another large facility located nearby.
- Skedasky sells to wine distributors, and also sells directly to some stores in the state
- They sell a variety of grades of wine, from cheaper boxed wine to premium bottles
- The industry is very fragmented (the interviewee should be able to guess this), and Skedasky has a comparable domestic market share to the other major winemakers in its area

Case 10: Skedasky Farms

Ideas for increasing revenue

104

Solution

A good interviewee will structure their ideas and briefly mention pros/cons of each idea. A sample structure with ideas is shown below

□ Current revenue streams

- Increase price
 - Examine price elasticity of demand
 - For each grade (boxed vs premium)
 - For each type buyer
 - For each type of wine (Cabernet vs Merlot)
- Increase volume
 - Increase share of shelf space
 - Seek new distributors or stores
 - Increase international exposure
 - Rebrand the wine

□ New revenue streams

- Wine tours, private tours and tastings for wealthy buyers
- Release new brands or varieties of top selling wines
- Expansion into new products
 - Red and sparkling wines
 - Spirits
 - Beer

Case 10: Skedasky Farms

Diversifying into beer

105

New Product

Skedasky thinks they have a good case for begin making and selling beer.

Question 2a

What are some possible reasons this could be a good idea for Skedasky?

There are many potential synergies, such as:

- Leverage the brand name and distribution channels
- Economies of scale in SG&A and other expenses
- Perhaps some of the equipment could be used for both products

Of course, there are many concerns/reasons this could be a bad idea.

Question 2b

How may they want to enter the Beer market and what are some associated concerns?

•Organically

- Pros
 - More control, no integration problems
- Cons
 - Will take time to begin
 - If they lack expertise in beer-making, could be a lengthy trial-and-error process

•Acquisition

- Pros
 - Facilities/resources will be ready to go
 - Leverage brand name of target
- Cons
 - Integration issues (e.g., culture clash)
 - Potentially expensive

•Joint venture / Alliance

Are there any concerns related to financing?

This depends on how much Skedasky is currently levered, and whether they have free cash to invest in this new project.

Case 10: Skedasky Farms

How about changing the price?

106

Price effect on revenue

Suppose that for some more immediate impact on revenue, our client is considering changing the price of their mid-upper level bottles of wine. Currently, the 10,000 bottles are sold per year for \$20/each. Studies have determined that a 10% increase in the price will result in a 10% decrease in volume, and a 10% decrease in price will result in a 5% increase in volume. Which course should the company take? ("Let me know if you need any additional information")

Solution

Key to answering this is that the interviewee must ask for the profit margin. Margins are currently 50% (of \$20). The calculations should result in the numbers below, suggesting that a 10% price increase would be most favorable.

	Currently	10% Price Increase	10% Price Decrease
Price	20	22	18
Cost	10	10	10
Margin	10	12	8
Volume	10000	9000	10500
Profit	100000	108000	84000

An 8% increase in profit looks very attractive.

Case 10: Skedasky Farms

Sample Recommendation

107

Prompt

You run into Mr. Skedasky in the elevator, and he wants to know where you are with your work.

Recommendation

We looked at several ideas to increase revenue, such as your suggestion to enter the beer market. I believe that you can take advantage of a number of synergies with this move, and an acquisition looks like the best way to enter, so more research must be done on potential targets. However, many risks present themselves with this move, such as – will the brand name carry over? Do management capabilities carry over to the beer industry? Therefore, further analysis must be done.

For an immediate increase in revenues and profits, you should increase the price of the mid-upper range wines. Research shows that you can expect a profit increase of roughly 8% in that category. Similar studies should be conducted across other product lines.

Case 11: University Apartments

Introduction

108

Problem Statement Narrative/Question 1

Your client is a real estate development corporation. It is looking to build an apartment complex on a vacant lot near a leading university in Philadelphia. What are some areas that should be examined to decide, whether this is a good idea?

Overview for interviewer

This is a profitability case. Discussion should quickly turn to $P=R-C$ and the various drivers of costs and revenues.

On the REVENUE side, price and volume (number of units built, % rented) should be considered, with some discussion about different price and purchase scenarios – i.e. how long would it take to sell all units, is there seasonality of occupancy?

On the COST side, fixed and variable costs should be discussed, such as land purchase, apartment construction, utilities, labor, insurance, etc.

Additional factors:

What is the current MARKET for land and apartments, including zoning for the vacant lot?

How do the future tenants' WTP (willingness to pay) depend on the quality of apartment units built?

RISKS such as lower than expected demand for units, drop in real estate value

Case 11: University Apartments

Question 2

109

Breakeven Question

Assuming an average apartment size, how much must our client charge in rent per apartment per month to break even within three years? See following information sheet.

Solution

Costs:

Land: $(200 \times 200) \times 100 = 4M$

Construction: $.80 \times 40,000 = 32,000 \times 3 \times 50 = 4.8M$

Utilities: $5,000 \times 12 = 60,000 \times 3 = 180,000$

Insurance: $2,500 \times 12 = 30,000 \times 3 = 90,000$

Labor: $3 \times 40,000 = 120,000 \times 3 = 360,000$

Total Costs: $4M + 4.8M + 180,000 + 90,000 + 360,000 = 9.43M$

Revenues:

Total apartment Sq. Ft.:

$.80 \times (200 \times 200) = 32,000 \times 3 = 96,000 \times .80 = 76,800$

Total apartment units: $128,000 / 512 = 150$ units

Total units occupied: $150 \times .80 = 120$ units

Breakeven:

$9.43M / (120 \times 3) = 26,194 / 12 = \1310 per unit per month

Provide information if asked

Detailed explanations on following page:

Land:

- 40,000 sq ft. (200×200)

- \$100 per sq ft.

Construction

- Building takes up 80% of land space

- Construction cost is \$50 per sq. ft. per month

- Building is 3 stories high

- Labor is \$40,000 per year; 3 staff required

Operating costs:

- Insurance is \$2,500 per month per floor

- Utilities is 5,000 per month per floor

Total apartment Sq. Ft.:

- 80% of land space is building

- 5 stories

- 20% is common space

- 512 sq ft. per unit

- Vacancy rate is 20%

Case 11: University Apartments

Information Sheet

110

- The vacant lot is square, measuring 200 ft. on one side and costs \$100 per sq. ft.
- Building regulations specify that no more than 80% of the lot can be covered with buildings, given the need for grass, sidewalks, etc., and construction costs are \$50 per sq. ft.
- The vacant lot is zoned for buildings up to 3 stories tall; no apartments are allowed in the basement.
- Utilities cost \$5,000 per month, insurance costs \$2,500 per month, and labor costs \$40,000 per full-time employee per year.
- The highest paying customers prefer apartment buildings that have at least 20% of the apartment building dedicated to amenities, i.e. non-apartment unit use.
- Preliminary market research estimates indicate a 80% occupancy rate per year during the first 3 years; additionally, apartments that are 512 sq. ft. in size would provide the most profit.
- Full-time employees include 1 custodian, 1 rental office staff, 1 grounds staff.

Case 11: University Apartments

Question 3

111

Strategy Question

Considering that our client can only build on 80% of the lot and can build apartments on 80% of the building itself, what are some other ways that they can earn revenue on the site or otherwise increase tenants' willingness to pay?

Suggested Solution

Earn extra revenue:

- Store
- Restaurant
- Dry cleaners
- Other small businesses

Increase customers' WTP:

- Gym
- Garage
- Laundry
- Pet zone
- Guest services (concierge, etc..)

Case 12: Vidi-Games

Introduction

112

Background

Our client is Vidi-Games, a manufacturer and retailer of video games. They are planning to enter the Brazilian market. One of the factors that has prevented them from entering that market is that there is a tariff for importing products that can be produced in the country of 50% of production costs. However, the government is planning to lower it down to 15% in the next years, decreasing it 5% every year (from 50% to 45%, and so on).

Questions

What variables should they consider? What is the market size? Should they enter the market? And if so, should they export the product from China to Brazil or produce it in Brazil?

Interviewer guide

First, structure the problem. It is a profitability problem. Some things that should be mentioned, on top of industry analysis and profitability stuff, are repatriation costs, regulations, currency, inflation, culture issues, etc..

Case 12: Vidi-Games

Market Size Calculation

113

Information that the candidate needs:

The interviewee should try to estimate these numbers, but no real prior knowledge is required. Because it is a market very different from the US, these numbers should be provided after the person tries to estimate them.

Brazil population = 200M

Younger population – under 35 = 50% - It can be assumed that these are the only ones interested in video-games

Poor population = 60% (hence, affluent people who can afford this, 40%)

Average number of people per household = 4

Penetration of video games within the affluent and young segment in Brazil = 75%

Games per year per average household = 3

Market Size Calculations

Total number of video-games that can be expected to be sold per year

= (total number of households that will purchase video games) x (number of video games per year per average household)

= [(total population x % of young people (that use video-games) x % of affluent people) ÷ (average people per household)] x (number of video games per year per average household)

Total number of video-games that can be expected to be sold per year = $((200M \times 50\% \times 40\%) \div 4) \times 3 = 22.5M$ of video games

Case 12: Vidi-Games

Profitability

114

Information that the candidate needs:

Usual retail price = \$50

Volume calculated in market size = 22.5M video-games per year.

Production in China	\$14
Production in Brazil	\$21
Distribution	\$6
Labor	\$8
Overhead	\$6
Other costs	\$10.4

Interim Conclusion

Under the current situation it is not a profitable business, and therefore the company should not go.

Information that the candidate needs:

Profit = Revenue - Costs

Total revenue = Volume x Price = 22.5M video games x \$50 per video game = \$1.125B

For costs, two scenarios have to be considered: producing in Brazil or in China.

Total costs of producing in Brazil = \$21 + \$6 + \$8 + \$6 + \$10.4 = 51.4

Because of 50% tariff, the production cost of producing in Brazil or in China is the same.

Total cost of producing in China = (\$14 x (1.5)) + \$6 + \$8 + \$6 + \$10.4 = 51.4

Per unit profit = \$50 - \$51.4 = \$ -1.4

Because of 50% tariff, the production cost of producing in Brazil or in China is the same.

Case 12: Vidi-Games

Lower Tariff

115

BUT the tariff is going to decrease, is it going to make sense for them to enter? (Ignore inflation and other factors).

Break-even point $\rightarrow$ Revenues = Costs

Costs that do not depend on tariff

Tariff % at which the company breaks-even

$$\$50 = \$30.4 + (\$14 \times (1 + X)) \rightarrow X = 0.35 = 35\%$$

Costs that do not
depend on tariff

Tariff % at which the
company breaks-even

Since the government will lower the tariff 5% every year, in 2 years the company would break even, in the following period they can enter the market (3 years from now).

Profit (per unit) = $\$50 - (\$18.9 + 30.4) = \$0.7$ per video-game.

Total profit = $\$0.7$ per video-game * 22.5M video-games per year = \$15.75M

Case 12: Vidi-Games

Additional Calculation

116

Yearly profit once the tariff reaches the minimum (15%)

Profit when the tariff reaches its lowest (and from then on) = $\$50 - (\$16.1 + \$30.4) = \3.5 per video-game.

Total profit = $\$3.5$ per video-game * 22.5M video-games per year = $\$78.75\text{M}$

If the investment of going into Brazil is \$100M, when will they recoup their investment?

First year (3 years from now) = $\$15.75\text{M}$

Second year = $\$31.5\text{M}$

Third year = $\$47.25\text{M}$

Total of first three years = $\$94.5\text{M}$

Very soon, beginning the fourth year, the investment would be recovered (3+ years is a good answer).

Exact number (assuming you sell the same number of video games every day of the year, 360 days) = 3 years and 31.43 days.

Calculations to get the exact number:

$\$100\text{M} - \$94.5\text{M} = \$5.5\text{M}$

If we sell the same amount of video games every day, then we sell $22.5\text{M} \div 360 = 62,500$ video-games per day. And because this is the fourth year of our investment, the tariff is 20%, therefore, the profit per unit is $\$2.8$.

Hence, we make $62,500$ video-games per day $\times$ $\$2.8$ per video game = $\$175,000$ per day.

$\$5.5\text{M}$ still to break-even $\div$ $\$175,000$ per day = 31.43 days.

Case 12: Vidi-Games

Brainstorm and Conclusion

117

What could Vidi-Games do if they needed to enter now? (Brainstorming part, these are just some ideas)

Revenue side:

- Analyze how viable is an increase in price.
- (Because the profit per unit is negative, increasing volume does not solve the problem)

Cost side:

- Negotiating cheaper labor.
- Moving manufacturing sites to lower cost areas.
- Optimizing distribution network.
- To produce in Brazil: See possibility of reducing production costs.

Other ideas:

- Entering in partnership with a Brazilian partner.
- Acquiring a competitor in Brazil.
- Selling video-games to retailers there (hence saving in distribution, labor, overhead, etc., but selling at a reduced wholesale price).

What do you think of the current scenario? I have to call Vidi-Games in a couple of minutes, what is your recommendation?

Case 13: Big School Bus Company

Introduction

118

Problem statement narrative

You have been approached by a private equity firm trying to decide whether or not to acquire Big School Bus Company. Big School Bus Company manufactures, owns, and operates school buses across the United States. The private equity firm wants you to help them estimate the size of the market for school buses and to identify ways in which you might be able to extract more value from Big School Bus Company, if acquired.

Overview for the interviewer

Let the candidate begin by performing a market size estimate. Candidates should define the target market, determine how large the market currently is (volume), and identify what portion of the market Big School Bus Company could be reasonably expected to capture, based on present (and future expected) market share.

Things candidates should consider:

- Segmenting school children into those who: a) walk; b) are driven to school by parents; and c) take the school bus
- How many children take school buses every day
- How many school buses would be needed to transport all these children
- That school buses can make multiple trips every morning and afternoon
- That only a fraction of school buses are replaced every year (candidate should make a reasonable assumption for school bus lifetime – 10-15 years; thus 1/10 to 1/15 of the total school bus market is “addressable”)

FYI: every school day, about 500,000 school buses transport ~26 million school children to and from school. Use this information to help steer the candidate back on track if they are orders of magnitude off.

NOTE: Technically there are other uses for school buses beyond simply transporting children to and from school. Depending on how time goes, you may want to ignore this aspect and have the candidate focus on a more limited definition of the market to be sized.

Case 13: Big School Bus Company

Market sizing

119

Information to be provided (if asked)

- The school bus manufacturing industry is dominated by two players. Big School Bus Company is the larger of the two with about 45% market share (by volume).
- 40% of school buses are owned and operated by independent companies, such as Big School Bus Company. These independent companies often contract their services out to school districts. The rest are owned and operated by school districts themselves.
- IF the candidate identifies him or herself as not having been part of the US public school system and specifically asks for clarification, you can tell the candidate that around 60% of US schoolchildren take school buses to school every day.
- Average school bus capacity is 20 passengers for smaller school buses and 70 passengers for larger school buses.
- 80% of schools buses are larger school buses. 20% are smaller school buses.

Case 13: Big School Bus Company

Extracting more value

120

Overview for the interviewer

How would the firm extract more value (additional profits) from Big School Bus Company?

Candidates should then setup a framework that allows them to explore both sides of the profit tree (revenue and costs).

Before the candidate gets too involved with their framework and analysis, the interviewer should ask the candidate whether their intuition tells them that more value can be extracted from the manufacturing or the operations/services side of the industry. Candidates should realize that the school bus industry is in a relatively mature phase, and most of the market has already been saturated. Thus, operations and services are likely to be more attractive, in general.

There are many possibilities that candidates can address in operations/services, and this is a chance for the candidate to be creative. Several different areas may be explored, and sample ideas follow on the next slide.

Case 13: Big School Bus Company

Question 2: Extracting more value

121

Sample ideas

Revenue – explore different business models

- Customers could be the school districts themselves.
- Customers could be businesses looking for mass transport services (but unwilling to pay for coach buses); this could potentially generate a lot more revenue for Big School Bus Company during hours when school buses might otherwise be sitting idle
- Customers could also be wealthy parents willing to pay for private “mass” transportation services (perhaps where public school buses are lacking, bus stops are too far from homes, or where public school buses are of less than suitable quality to these parents).
- School children tend to take school buses just before their parents head off to work and before their parents get home from work. Thus, Big School Bus Company may be able to allocate buses to transporting employees to work (think the Google shuttle concept).
- Service differentiation. For example, provide WiFi so that students can complete their homework while riding the school bus and perhaps be less rowdy if distracted by internet-based entertainment.
- From a **price** perspective, Big School Bus Company could contract out services for a flat fee per year. Or they could charge per passenger. Candidates would ideally discuss the issues of willingness-to-pay versus cost-plus (and other) pricing methods, as well as which business models would better support a “fee-per-person” pricing model.

Costs

When it comes to school districts sourcing buses (and sometimes bus services), school districts may choose to put out contracts to competitive bids. Oftentimes the decision point will be who has the lowest bid that still meets the quality metrics and requirements specified by the school district.

- In order to submit a low bid, Big School Bus Company should also examine its cost structure. Candidates may delve into the fixed and variable cost components of different proposed options for creating value. For instance, fixed costs could include the buses themselves, the internet connectivity hardware and contracts with internet service providers, the corporate headquarters/dispatch center, etc.. Variable costs would include fuel and hourly wages for (potentially unionized) bus drivers.

Case 13: Big School Bus Company

Conclusion

122

Conclusion

Candidates should recognize that while the problem narrative focuses mostly on the questions of market sizing and extracting value, the real substantive issue is whether or not to recommend an acquisition of Big School Bus Company. Top candidates will make such a recommendation at the end, without prompting.

If a candidate does not make such a recommendation without prompting, ask them at the end of the case what they would recommend and why (the “Our client’s managing director is coming; what do you say to him/her?” executive summary).

Case 14: American Beauty Company

Introduction

123

Problem statement narrative

American beauty company is, as the name suggests, a high quality beauty products company. They have done very well both in US and globally and enjoy great brand recognition. One of their major products is hair color. ABC manufactures high quality 'use at home' hair color products. They sell through retail and drugstores, with all manufacturing in-house. They have an 800 number for customer support. Recently they have been experiencing declining revenues and market shares. The retailers have complained about their products as the competition Bell International takes over. The firm has been called in to advise ABC on what to do.

Question 1:

How would you start thinking about this problem?

It's an open ended question. There can be number of ways to approach this problem. Crucial here is to look at the big picture and come up with three or four major areas that you would like to explore given this specific product, industry and the situation. Do not get caught in the profitability trap due to mention of declining revenues.

A good answer would include following:

Product

- Attributes
- Ease of use
- Value proposition
- Price
- Benchmark against competition
- & your value proposition
- Market share and trends

Customer

- Target market segment(s)
- Brand loyalty
- Price sensitivity
- Important attributes
- Typical customer behavior. What they like / dislike about our product
- Buying habits

Distribution channel

- Distribution network
- Shelf space & positioning relative to competitors
- Share of distribution network compared to competitors

Case 14: American Beauty Company

Question 2 and 3

124

Question 2: One of their biggest market segments is 18 – 55 yrs old women. But their share has been declining recently. Why do you think this might be happening? How would you approach this issue?

There might be a number of issues here. You could suggest doing a market research to break down the issue into brand awareness, trial % and re-trial and acceptance %, access (distribution) to figure out which one of these may be critical for ABC. You can also suggest benchmarking against competitor products.

Question 3: Using the data below, what sales are required for ABC to have 50% of the women's market in 2 years?

Segment	Size (\$ Mn)	Growth rate
Women	800	5 %
Men	200	20%
Teens	100	10%

It will be good to point out that based on this data looks like their biggest segment, women, is maturing fast.

Total Women's Mkt in 2 yrs = $800 * (1.05)^2 = 882$

50% mkt share = 441

Case 14: American Beauty Company

Question 4

125

Question 4: What is the dollar market share for ABC currently? What will the mkt share be in 2 yrs?

You will need to ask for the current and future mkt share data. Current mkt share is as below. Assume they keep the same mkt share in 2 yrs.

Segment	Size (\$ Mn)	Growth rate	Current Mkt share
Women	800	5 %	50%
Men	200	20%	10%
Teens	100	10%	30%

It will be good to notice that ABC has quite low penetration rates in men's segment.

ABC's current \$ mkt share = $.5 * 800 + 0.1 * 200 + 0.3 * 100 = 400 + 20 + 30 = 450$

Total mkt in 2 yrs = $800 * (1.05^2) + 200 * (1.2^2) + 100 * (1.1^2) = 882 + 288 + 121 = 1291$

ABC's mkt share in 2 yrs = $441 + 28.8 + 36.3 = 506.1$

Mkt share % = $506.1 / 1291 = 39.2\%$

Case 14: American Beauty Company

Question 5

126

Question 5: The team also did a customer brand awareness and perception survey in the 18 – 55 yrs women segment for ABC benchmarking its products against the competitor Bell. The results of the survey are in the table below. What do you notice and what do you suggest ABC can do about it?

Survey 1: Brand awareness, 18 – 55 yrs, Women

Bell users	80% know about ABC
Non users	40% know about ABC, 60% know about Bell
ABC users	95% know about Bell

Survey 2: Perception of quality, 18 – 55 yrs, Women

Segment	ABC is higher quality	Bell is higher quality
ABC users	95%	85%
Bell Users	70%	95%
Non users	55%	85%

You can see from the results of both the surveys that despite its high quality and brand recognition, the competitor Bell fares better amongst customers in both dimensions whether users or non users.

ABC should focus on improving its brand awareness and perception of quality. For brand awareness, they have to focus on advertising. To improve its perception of quality, they should invest in promotions, joint marketing efforts with retailers to push their product and trials.

Case 14: American Beauty Company

Recommendation

127

Recommendation

A good recommendation will include the following major points:

Based on the analysis so far, it seems like the main reason for declining revenues and market shares is that the competitor Bell has achieved better brand awareness and perception of quality in the market compared to ABC. Hence ABC should focus on improving these through advertising and aggressive promotions and marketing.

Going forward, it seems like ABC has very low penetration in the men's segment. They should target these segments for future growth opportunities since the women's segment seems to be maturing.

Also, the total market size of teens seems really low. There might be opportunities there to expand the total market size through innovative products, increased usage and acceptance of hair color products.

Contents

128

Section	Page #
□ Introduction	3
□ Consulting Industry Guide	6
□ Industry Overview	
□ Firm Overviews (10 Firms)	
□ Interview Preparation	18
□ Interview Overview – Fit + Case	
□ Sample Frameworks	
□ Industry Snapshots	
□ Practice Cases	50
□ 14 Practice Cases	
□ Links to Other Cases	129
□ Cases from Firm Websites	
□ Suggested Cases from other Casebooks	

Recommended cases from company websites (1 / 3)

129

Firm Name	Case Name	Case Type	Link to Case
McKinsey	Great Burger	Acquisition	http://www.mckinsey.com/careers/how_do_i_apply/how_to_do_well_in_the_interview/case_interview/practice_cases/Great%20Burger.aspx
McKinsey	Magna Health	Profitability	http://www.mckinsey.com/careers/how_do_i_apply/how_to_do_well_in_the_interview/case_interview/practice_cases/magna%20health.aspx
Bain	Personal Care	PE Firm Acquisition	http://www.joinbain.com/apply-to-bain/interview-preparation/practice-case1-quest1.asp?stage=1&ques=1
Bain	Office Vending	Profitability	http://www.joinbain.com/apply-to-bain/interview-preparation/practice-case2-quest1.asp?stage=1&ques=1

Recommended cases from company websites (2/3)

130

Firm Name	Case Name	Case Type	Link to Case
BCG	GenCo	Revenue growth	http://www.bcg.com/join_bcg/interview_pr ep/practice_cases/revenue_growth.aspx
BCG	Sugar Cereal	Distribution	http://www.bcg.com/join_bcg/interview_pr ep/practice_cases/distribution_strategy.as px
BCG	Jet Fighter	Profitability	http://www.bcg.com/join_bcg/interview_pr ep/practice_cases/increasing_profits.aspx
BCG	Discount Retailer	Competitive strategy	http://www.bcg.com/join_bcg/interview_pr ep/practice_cases/competitive_strategy.as px
Oliver Wyman	Wumble World Theme Park	Profitability	http://www.oliverwyman.com/ow/4830.htm
Oliver Wyman	Aqualine Boats	Revenue growth	http://www.oliverwyman.com/ow/4831.htm

Recommended cases from company websites (3/3)

131

Firm Name	Case Name	Case Type	Link to Case
AT Kearney	Case 1	Growth Strategy	<u>Link broken:</u> http://www.atkearney.be/index.php/Join-us/preparation.html
AT Kearney	Case 2	Growth Strategy	http://www.atkearney.be/images/benelux/pdf/Case2.pdf
AT Kearney	Case 3	Distribution	http://www.atkearney.be/images/benelux/pdf/Case3.pdf
AT Kearney	Case 4	Competitive threat/resp	http://www.atkearney.be/images/benelux/pdf/Case4.pdf
AT Kearney	Case 5	Outsourcing	http://www.atkearney.be/images/benelux/pdf/Case5.pdf